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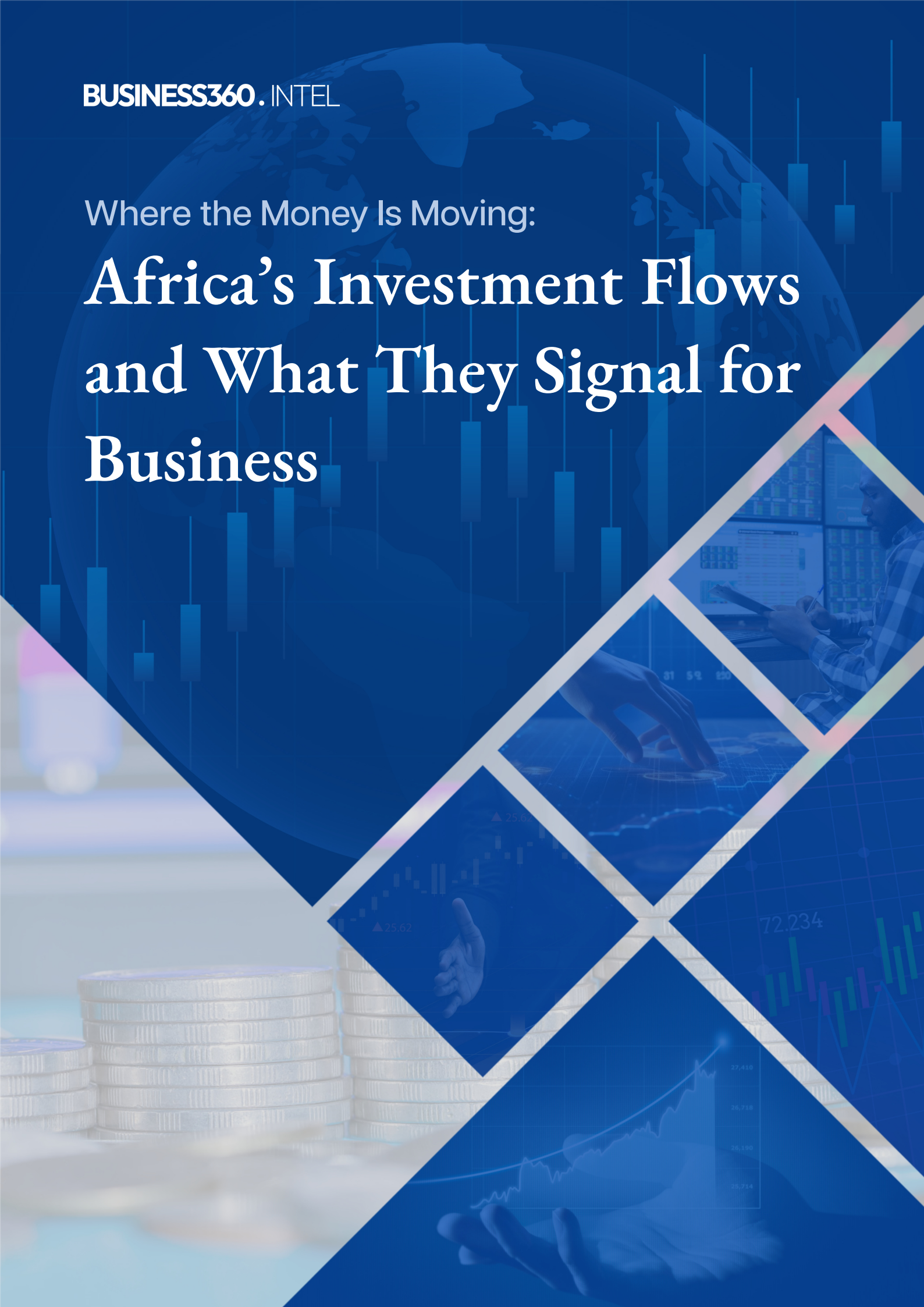
Where the Money Is Moving:

Africa's Investment Flows and What They Signal for Business



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Foreword

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1.1 Why this report matters now

Africa's investment story has entered a more consequential phase. Capital is still moving into the continent, but it is no longer moving in the same way, toward the same sectors, or under the same assumptions that shaped the previous investment cycle. The era in which broad continental narratives, rapid consumer-market projections, and early-stage technology growth could attract attention without equally strong evidence of cash flow, operating resilience, and regulatory certainty is giving way to a more selective environment. Investors are looking more carefully at assets that can protect value, produce hard-currency or inflation-linked revenues, support strategic supply chains, and operate through periods of macroeconomic stress.

According to UN Trade and Development, Africa attracted about $70 billion in foreign direct investment in 2025. That figure was lower than the extraordinary inflow recorded in 2024, when a small number of large transactions significantly lifted the regional total. Yet it remained Africa's third-highest annual level since 1990 and roughly one third above the continent's long-term average. The data therefore tells two stories at once. First, global capital remains willing to invest in Africa. Second, the composition and concentration of that capital matter far more than a headline total alone can reveal.

The global environment makes this distinction especially important. International investment is being reshaped by geopolitical competition, trade-policy uncertainty, industrial-policy activism, energy-security concerns, supply-chain diversification, artificial intelligence infrastructure, and the global race for critical minerals. These forces are altering how international investors assess African markets. They are increasing interest in certain sectors, particularly energy, digital infrastructure, strategic minerals, transport, logistics, food systems, and selected forms of industrial capacity. But they are also raising the threshold that projects, firms, and governments must meet to attract capital at reasonable cost.

For African businesses, the implications are immediate. The question is no longer simply whether foreign or domestic capital is available. The more important questions are what form it takes, what risks it is willing to absorb, what returns it expects, what conditions it imposes, and whether it matches the actual cash cycle and operating reality of the enterprise receiving it. A company can secure capital and still become financially weaker if the currency, maturity, covenants, or repayment profile of that capital does not fit its business model. A country can attract a large investment commitment and still fail to improve productive capacity if the project remains disconnected from local supply chains, skills development, or domestic value addition.

This report matters because African investment decisions are increasingly being made under conditions where mistakes are expensive. Currency volatility, higher global interest rates, debt service pressure, and uneven regulatory environments mean that capital must be allocated more carefully than before. For policymakers, the central challenge is to move beyond promotional investment narratives and build conditions that attract patient, productive, and appropriately structured capital. For businesses, the challenge is to become investable on the basis of real economics, not only market potential. For investors, the task is to distinguish between headline opportunity and investable value.

1.2 Why investment flows reveal more than funding trends

Investment flows are often discussed as a scorecard. Higher foreign direct investment is treated as good news. More venture funding is interpreted as evidence of innovation. Larger project-finance announcements are presented as proof of confidence. Portfolio inflows are viewed as signs that global markets are returning. These indicators are useful, but they are incomplete.

Capital flows reveal much more than the volume of money entering a country or sector. They reveal what investors believe will remain valuable under uncertainty. They reveal which risks investors are prepared to take and which risks they insist governments, consumers, or development institutions absorb. They show whether capital is funding consumption, extraction, infrastructure, productive enterprise, or speculative activity. They also show which countries have created enough legal certainty, macroeconomic stability, project

preparation capacity, and market scale to compete for scarce long-term capital.

The difference between capital quantity and capital quality is central to this report. Large inflows can mask concentration. A single megaproject can transform a country's investment statistics without transforming its wider business environment. A large natural-resource transaction can raise headline foreign direct investment without generating significant local processing, skills transfer, or supplier development. A venture-capital boom can create high valuations without producing companies capable of positive cash flow or durable employment. Conversely, a smaller but diversified flow of local-currency financing into power, manufacturing, logistics, agricultural processing, and medium-sized firms may have a deeper and more sustained economic effect.

The terms of capital also matter. Equity, debt, concessional finance, blended finance, project finance, trade finance, and portfolio capital each serve different purposes and carry different risks. Equity is patient in some respects but can demand aggressive growth and eventual exit. Foreign-currency debt can finance long-lived assets, but it can also destabilise businesses with local-currency revenues. Concessional capital can absorb risks that commercial investors cannot, but it may be too limited to meet the scale of Africa's financing needs. Domestic pension and insurance capital can provide longer-term local-currency funding, but only if regulatory frameworks, project pipelines, and risk-sharing structures make such investment possible.

Investment flows also reveal a changing hierarchy of sectors. UN Trade and Development's 2026 assessment shows that investors are increasingly positioning around strategic industries, including energy, infrastructure, and critical minerals. Globally, announced greenfield investment in digital infrastructure rose sharply in 2025, led by data centres and related facilities. This reflects the shift from a capital market defined largely by consumer technology and broad globalisation to one shaped by infrastructure, economic security, power availability, data sovereignty, and supply-chain resilience.

For African businesses, reading investment flows correctly is therefore a strategic exercise. It helps firms understand not merely where money has gone, but what kinds of assets, revenue models, governance structures, and operating conditions capital increasingly rewards. It helps regulators understand why some sectors attract international interest while others struggle. It helps policymakers identify whether investment policy is producing broad industrial capability or only isolated deal announcements.

1.3 Why Africa's capital story is becoming more selective and strategic

Africa's capital story is becoming more selective because the global cost of money remains higher than it was during the previous decade, while risk tolerance has narrowed. Investors face more attractive opportunities in developed markets than they did when global rates were near historic lows. They are also more sensitive to exchange-rate risk, sovereign debt conditions, political uncertainty, and the possibility that capital cannot be repatriated quickly. As a result, African markets must work harder to attract capital and must offer a more credible explanation of how investment will generate and protect returns.

This does not mean capital is abandoning Africa. It means capital is becoming more discriminating. Investments are increasingly concentrated in markets and sectors where strategic demand, asset scarcity, scale, or risk mitigation is clear. Energy projects that can secure long-term offtake agreements, mining projects linked to globally important minerals, data centres supported by connectivity and power solutions, logistics networks tied to trade corridors, and infrastructure assets with contracted revenues are more likely to attract attention than businesses built mainly on projected market size.

The strategic dimension is equally important. Global competition has turned certain African assets into geopolitical priorities. Critical minerals are essential to energy-transition technologies and advanced manufacturing. Renewable energy potential matters to investors searching for low-carbon power and industrial opportunities. Ports, transport corridors, and telecommunications infrastructure matter because supply-chain resilience and data connectivity have become economic-security concerns. North Africa's proximity to Europe,

Southern Africa's industrial and financial depth, East Africa's logistics and digital hubs, and selected West African markets' population scale and resource base each create distinct investment narratives.

According to the African Development Bank's 2026 outlook, Africa's investment environment is also being shaped by the continuing imbalance between public and private capital. Public investment remains relatively high because weak business environments, financing constraints, and policy risks limit private sector participation. This imbalance is significant. It means governments and development finance institutions are still carrying a disproportionate share of the burden for infrastructure and transformation, even though long-term development requires deeper private capital markets and more domestic institutional participation.

Selective capital is not necessarily bad for Africa. In fact, it can create an opportunity to move away from low-quality capital that funds unsustainable expansion or poorly designed projects. But it raises the bar. Countries must reduce uncertainty and improve the preparation of investable projects. Businesses must demonstrate stronger governance, clearer unit economics, and better command of working capital and currency risk. Investors must move beyond simplistic risk premiums and build more nuanced mechanisms for financing opportunities that are commercially viable but structurally constrained.

The central issue is whether selectivity will lead to better investment or merely deeper concentration. If capital keeps flowing only to a narrow group of sectors, countries, and large corporate platforms, Africa may experience impressive headlines without broad-based transformation. If, however, policy and market reforms can channel selective capital into productive ecosystems, local supplier networks, industrial processing, and resilient medium-sized enterprises, the current investment cycle could become more economically meaningful than the last.

1.4 Scope, audience, and report logic

This report is written for decision-makers whose exposure to Africa is financial, operational, regulatory, or strategic. Its intended readers include institutional investors, private-equity firms, venture and infrastructure investors, commercial banks, development finance institutions, corporates, founders, policymakers, regulators, and professional advisers. It is designed for readers who need to understand not only the direction of investment flows, but also what those flows mean for business conditions and long-term economic transformation.

The report is Africa-focused, but it does not treat the continent as a single market. Investment opportunities and risks vary widely between North Africa, West Africa, East Africa, Central Africa, and Southern Africa. They also vary between resource-rich economies, diversified middle-income markets, frontier economies, fragile states, and regional financial centres. The report therefore focuses on continental patterns while examining the different conditions that shape capital deployment across countries and sectors.

Its scope extends across foreign direct investment, portfolio flows, private equity, venture capital, project finance, corporate investment, development finance, concessional capital, blended finance, domestic institutional capital, and private credit. This broad approach is necessary because Africa's capital story cannot be understood through foreign direct investment alone. A country can attract FDI while facing a shortage of local-currency finance for domestic firms. A startup ecosystem can raise venture capital while industrial companies struggle to finance equipment. A major infrastructure project can reach financial close while small and medium-sized businesses remain trapped by expensive short-term credit.

The report follows a clear analytical sequence. It begins by establishing the current investment landscape and explaining why headline inflows do not tell the full story. It then maps the major trends in capital allocation, showing where money is moving and why. It examines the barriers that prevent capital from becoming productive investment at scale, including currency risk, regulatory uncertainty, weak project preparation, and infrastructure constraints. It then moves to financial analysis, focusing on cost of capital, leverage, liquidity, cash conversion, foreign-currency risk, return on invested capital, and enterprise resilience.

The final chapters turn from diagnosis to action. They set out recommendations for

businesses, investors, policymakers, regulators, development finance institutions, and domestic institutional investors. They also use case studies to show how capital has been deployed effectively, how investment statistics can become distorted, and why certain projects have failed to create expected economic value.

The report's underlying premise is straightforward. Africa does not only need more money. It needs money that is patient enough, appropriately structured, productively deployed, and connected to real enterprise capability. Where the money is moving matters. But what that movement signals for business matters more.

2

Methodology

2.1 Research objectives

This report examines Africa's investment flows as a strategic business signal rather than as a simple measure of financial activity. Its main purpose is to explain where capital is moving across African markets, why investors are selecting particular sectors and countries, what forms of finance are being used, and what these patterns imply for businesses, policymakers, regulators, and long-term capital providers.

The report is guided by five research objectives.

The first objective is to map the changing composition of investment flowing into Africa. This includes foreign direct investment, portfolio flows, private equity, venture capital, private credit, infrastructure finance, trade finance, blended finance, concessional capital, sovereign and corporate borrowing, and domestic institutional investment. The purpose is to distinguish between capital that is announced, capital that is committed, capital that reaches financial close, and capital that is actually deployed into operating assets and enterprises.

The second objective is to identify the sectors drawing the strongest investor attention. The report examines energy, critical minerals, transport, logistics, industrial platforms, digital infrastructure, data centres, financial services, agriculture and food processing, pharmaceutical production, and selected strategic manufacturing segments. It asks why these sectors are attracting capital now and whether that capital is likely to create lasting productive capacity, local value addition, employment, and enterprise resilience.

The third objective is to assess the quality of capital rather than only its quantity. A large investment inflow is not automatically positive if it is concentrated in a single project, vulnerable to currency disruption, poorly aligned with local demand, dependent on unsustainable debt, or unable to create domestic linkages. The report therefore evaluates investment through financial durability, cash-flow fit, currency exposure, leverage, project maturity, governance, technology transfer, local supplier development, and the ability to generate recurring economic value.

The fourth objective is to explain the constraints that shape capital allocation. Africa's investment opportunities are substantial, but they operate within a context of high financing costs, currency volatility, shallow domestic capital markets, fragmented regulatory systems, project preparation gaps, power constraints, logistics costs, and uneven policy credibility. The report considers how these constraints affect the willingness of capital providers to invest and the terms on which businesses can access finance.

The fifth objective is to offer a practical framework for action. The report is intended to help businesses become more investable, investors improve their allocation decisions, policymakers strengthen investment conditions, and development institutions crowd in commercial and domestic capital more effectively. Its purpose is not to celebrate investment flows uncritically. It is to identify what kinds of capital can help build stronger enterprises and more resilient economies.

2.2 Evidence base and source logic

The report is based on a combination of macroeconomic, investment, financial-market, sectoral, and enterprise-level evidence. Its primary sources include the African Development Bank, the World Bank, the International Monetary Fund, UN Trade and Development, the International Finance Corporation, the Organisation for Economic Co-operation and Development, central banks, national investment-promotion agencies, regional development institutions, and credible industry research.

UN Trade and Development data serves as a core source for foreign direct investment analysis because its FDI Explorer and World Investment Report distinguish between annual inflows, outflows, stocks, announced greenfield projects, international project finance, and cross-border mergers and acquisitions. The organisation makes an important distinction that is applied throughout this report: annual FDI flows measure investment received during a particular year, while FDI stock measures the accumulated value of foreign investment already present in an economy. These measures are related but should not be treated as interchangeable.

The African Development Bank provides a second major evidence base. Its African Economic Outlook, investor materials, private-sector portfolio analysis, and development-effectiveness reviews provide insight into

investment conditions, public-private capital mobilisation, regional growth patterns, infrastructure constraints, and the role of non-sovereign financing. The Bank's 2026 development-effectiveness review, for example, reported that it mobilised $4.331 billion in private capital in 2024, including $2.360 billion directly mobilised through instruments such as guarantees, syndications, and mandate letters. This is significant because it demonstrates the continuing importance of risk-sharing structures in attracting private finance to African projects.

Macroeconomic and financial analysis is supplemented by country-level evidence. This includes central-bank reports, debt-management publications, investment agency data, corporate disclosures, financial statements, credit-rating commentary, project-finance announcements, and market research. Sector-specific evidence is used to understand the operational economics of investment in energy, data infrastructure, logistics, manufacturing, agribusiness, and financial services.

The report also draws on case-based research. These cases are not selected simply because they are well-known transactions. They are used where they illuminate a wider structural issue, such as the effect of megaprojects on FDI statistics, the challenge of turning renewable-energy commitments into operating assets, the relationship between digital infrastructure and power reliability, or the difference between venture funding and durable enterprise economics.

The source logic is deliberately layered. Aggregate data establishes the size and direction of capital flows. Sectoral evidence identifies where capital is concentrating. Enterprise and project analysis explains how capital behaves once deployed. This approach makes it possible to move from continental figures to business-level implications without assuming that a single data point describes the whole investment environment.

2.3 Analytical lens

The report uses five connected lenses to evaluate Africa's investment flows.

The first is the **capital-source lens.** This identifies where investment originates and what form it takes. Foreign direct investment, domestic savings, pension funds, commercial bank lending, development finance, private equity, sovereign wealth funds, family offices, strategic corporates, and venture investors do not behave in the same way. They have different return thresholds, time horizons, risk appetites, currency preferences, and governance expectations. Understanding who provides capital is essential to understanding what that capital can realistically finance.

The second is the **capital-use lens**. This examines what money is financing. Capital directed toward a mining concession, a solar plant, a data centre, an industrial park, a consumer-credit platform, a logistics corridor, or a manufacturing business has different economic effects and risk profiles. The report distinguishes between capital that funds operational assets, capital that supports expansion, capital that refinances existing obligations, capital that finances working capital, and capital that primarily changes ownership without increasing productive capacity.

The third is the **capital-structure lens**. This focuses on the mix of equity, local-currency debt, foreign-currency debt, project finance, guarantees, concessional capital, and other instruments used in a transaction. Capital structure is often the hidden determinant of whether an African enterprise or project succeeds. A business may be commercially strong but financially vulnerable if its debt is short-term, foreign-denominated, or misaligned with the timing of its cash flows. Likewise, a project may appear financeable only because public institutions or consumers are carrying risks that private investors are unwilling to absorb.

The fourth is the **transmission lens**. This assesses whether investment produces broader economic value. The report asks whether capital creates local supplier relationships, skilled employment, technology transfer, tax revenues, export capacity, energy reliability, or industrial capability. It also asks whether returns are retained and reinvested locally or extracted without deepening the domestic economic base. This lens separates financial activity from productive transformation.

The fifth is the **resilience lens**. This considers how investments perform under volatility. African markets are often assessed through risk premiums, but the real question is whether a

business or project can operate through currency depreciation, interest-rate shocks, political change, supply-chain disruption, delayed payments, or reduced consumer demand. The report evaluates resilience through liquidity, cash conversion, debt maturity, revenue diversification, contract design, foreign-exchange exposure, and the ability to maintain operations under stress.

Together, these lenses allow the report to move beyond a simplistic question of whether Africa is receiving more or less investment. They provide a framework for assessing whether investment is appropriately structured, economically useful, and capable of producing durable returns.

2.4 Data integrity and validation approach

Investment data requires careful handling because different sources measure different things. A foreign direct investment figure may represent an actual capital inflow, a reinvestment of earnings, an intra-company loan, a large one-off transaction, or a financial arrangement that does not immediately translate into new productive assets. Announced project values may be much larger than amounts that have reached financial close or begun construction. Venture-funding announcements may include debt and equity, while private-equity figures may reflect the value of ownership changes rather than new capital deployed into operations.

For this reason, the report applies several validation principles.

First, it distinguishes between **announced, committed, closed, disbursed, and operational capital**. These stages should not be treated as equivalent. An investment announcement signals interest. A commitment indicates stronger intent. Financial close confirms that financing arrangements have been completed. Disbursement shows that money has begun to flow. Operational capital means that assets or enterprises are actually producing goods, services, or cash flows. Where data permits, the report makes these distinctions explicit.

Second, the report uses source triangulation. Major numbers are cross-checked against multiple credible sources wherever possible. UN Trade and Development figures are compared with African Development Bank analysis, country-level reports, and reputable market evidence. If a figure is influenced heavily by a single transaction, that context is included rather than allowing the aggregate number to imply broad-based investment growth.

Third, the report treats concentration as an analytical issue. A large inflow can make a country or sector appear attractive even when investment is narrowly concentrated. This occurred in the 2024 African FDI figures, when an exceptional megaproject significantly lifted regional totals. The report therefore looks beneath regional and national aggregates to identify whether capital is diversified across sectors, firms, and projects.

Fourth, the report separates capital flows from economic outcomes. Investment can be financially real without producing the expected developmental or business effects. The report does not assume that every FDI inflow creates jobs, that every digital investment improves productivity, or that every infrastructure project generates competitive advantage. It examines outcomes through operating performance, local linkages, cash-flow generation, and enterprise capacity where evidence is available.

Fifth, the report uses caution around projections. Forecasts of investment, infrastructure demand, market size, and future returns are treated as scenario-based assessments rather than established facts. Africa's investment environment can change quickly in response to global commodity prices, exchange-rate movements, elections, regulatory changes, regional instability, or shifts in global interest rates. The report focuses more on structural trends than on precise point forecasts.

Finally, the report treats domestic capital with the same seriousness as international capital. Africa's investment story is often told as if it depends entirely on foreign institutions. That framing can obscure the importance of local banks, pension funds, insurers, family businesses, sovereign funds, and retained corporate earnings. Where data is available, the report considers domestic capital as part of the investment landscape rather than as an afterthought.

2.5 Limits of interpretation

This report does not treat Africa as a uniform investment destination. The continent includes countries with deep financial markets, countries with limited domestic capital formation, commodity exporters, diversified economies, large consumer markets, small frontier markets, stable regulatory systems, and fragile political environments. An investment thesis that is valid in Morocco, Egypt, Kenya, Nigeria, South Africa, Rwanda, Ghana, Côte d'Ivoire, Mozambique, or Botswana may not apply elsewhere.

The report also recognises that investment data is incomplete. Private-equity transactions are not always fully disclosed. Venture-capital data may be inconsistent across databases. Chinese, Gulf, and other strategic investments can be structured through entities that make ultimate ownership difficult to track. Domestic institutional allocations are often reported with a lag or grouped in ways that obscure sector exposure. Informal investment, retained earnings, diaspora capital, and family-business financing are especially difficult to quantify despite their importance.

A further limitation concerns causality. It is often difficult to isolate the effect of a particular investment from wider economic conditions. A data centre may contribute to digital capacity, but its impact depends on power, connectivity, customer demand, regulation, and skills. A transport corridor may lower logistics costs, but only if customs systems, warehousing, border procedures, and industrial demand are aligned. The report therefore avoids simplistic claims that capital alone produces transformation.

The analysis is also time-bound. It is based on information available through September 2026. Investment flows can shift rapidly, particularly in periods of global volatility. The report is designed to identify enduring patterns in the allocation and structure of capital, not to function as a real-time transaction database.

These limitations do not weaken the report's purpose. They define it. The objective is not to provide a single investment ranking for Africa or a definitive forecast for every country. It is to provide a rigorous framework for understanding what current investment flows signal for business, policy, and long-term economic opportunity.

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Executive Summary

3

3.1 Core findings

Africa's investment landscape is changing in ways that matter more than the headline value of foreign direct investment, venture funding, or portfolio inflows. Capital is still entering the continent, and in some sectors it is doing so at significant scale. However, the current investment cycle is more selective, more concentrated, and more closely linked to strategic global priorities than the broad consumer-growth narrative that characterised much of the previous decade.

According to UN Trade and Development, foreign direct investment into Africa reached about $70 billion in 2025. This was below the exceptional $94 billion recorded in 2024, but it remained the third-highest annual level since 1990 and approximately one third above Africa's long-term average. The lower 2025 figure should not be read simply as a loss of confidence. The 2024 result was unusually high because it was influenced by a small number of exceptional large-scale transactions. The more important finding is that the investment cycle has become highly concentrated in strategic sectors, including energy, infrastructure, critical minerals, digital systems, logistics, and selected manufacturing projects.

This concentration signals a shift in the investment thesis for Africa. Global investors are not abandoning African markets. They are reallocating capital toward assets and sectors that can respond to energy security, supply-chain resilience, industrial policy, data demand, resource scarcity, and climate-transition requirements. In practical terms, this means power generation, transmission, gas infrastructure, renewable projects, critical-mineral extraction and processing, ports, transport corridors, fibre networks, towers, data centres, industrial parks, and strategic manufacturing capacity are becoming more attractive than broad, lightly differentiated growth stories.

The central conclusion of this report is that the most important question for African businesses is no longer whether money is moving into the continent. It is what kind of money is moving, what it is demanding in return, which risks it will absorb, and whether it can be matched to the real operating and cash-flow conditions of African enterprises.

Capital that is poorly structured can weaken a business even when the amount raised is large. Foreign-currency debt may create balance-sheet stress for companies that earn mainly in local currency. Short-term facilities can create liquidity pressure for businesses whose cash conversion cycle is long. Equity capital can support expansion, but it can also impose unrealistic growth expectations if investors are not aligned with the pace at which African markets build infrastructure, formal demand, and regulatory certainty. Concessional capital can make projects possible, but it cannot permanently substitute for functioning domestic financial systems and credible commercial markets.

The report finds that quality capital has five core characteristics. It is matched to the currency, cash cycle, and maturity profile of the business or project. It supports productive assets and operating capability rather than only ownership changes or short-term consumption. It is structured to withstand macroeconomic volatility. It creates local economic linkages through suppliers, skills, technology, tax, and reinvestment. And it is deployed within a governance and regulatory environment credible enough to protect both public and private interests.

Africa therefore faces a dual task. It must attract more capital, especially for infrastructure, climate adaptation, energy, industrial transformation, and enterprise expansion. But it must also improve the conversion of capital into productive capacity. The continent's investment success should not be measured only by the value of commitments announced. It should be measured by whether capital reaches financial close, becomes operational, produces reliable cash flows, lowers business costs, strengthens domestic firms, and creates durable economic value.

3.2 Where capital is concentrating

The clearest trend is the movement of capital toward strategic, infrastructure-linked, and asset-backed sectors. This reflects both Africa's structural needs and changes in global investor priorities.

Energy is at the centre of this shift. Electricity generation, transmission, distribution, renewable energy, gas, storage, and energy-access platforms are attracting investor attention because reliable power is both a commercial opportunity and a prerequisite for every other

productive sector. According to UN Trade and Development, cumulative greenfield investment announcements in electricity and gas supply across Africa reached $289 billion between 2021 and 2025, compared with $86 billion between 2016 and 2020. This sharp increase reflects the demand for energy security, the global energy transition, and the need to power industrial, digital, and urban growth.

Critical minerals are another major destination for capital. Copper, cobalt, lithium, graphite, manganese, rare earths, and other minerals are becoming more important because they are embedded in electric vehicles, batteries, renewable systems, grid technologies, defence applications, and advanced manufacturing. Africa's resource endowment creates a strong investment proposition, but the strategic question is whether capital will remain concentrated in extraction or whether it will help build processing, refining, logistics, skills, and industrial ecosystems within African economies.

Digital infrastructure is emerging as a third area of concentration. Data centres, subsea cables, fibre networks, telecommunications towers, cloud services, and connectivity systems are attracting interest because the digital economy has become inseparable from physical infrastructure. The expansion of artificial intelligence, cloud computing, financial technology, e-commerce, enterprise software, and digital public services requires reliable storage, processing, power, and network capacity. The Africa Data Centres Association's 2026 analysis notes that the sector is gaining momentum amid rapid global expansion in digital infrastructure, even though the continent still faces major gaps in power availability, connectivity, and financing.

Logistics and transport platforms are also drawing attention. Ports, freight systems, warehousing, rail, road corridors, cold-chain facilities, border infrastructure, and industrial zones are becoming more important as African governments and investors seek to capture the benefits of regional integration and supply-chain diversification. Capital is moving toward the movement of goods because trade, manufacturing, food systems, and consumer markets cannot scale efficiently without predictable logistics.

Manufacturing and strategic supply chains are attracting a more selective class of investment. Food processing, pharmaceuticals, packaging, light manufacturing, building materials, industrial inputs, and selected consumer goods are increasingly viewed through the lens of import substitution, regional market integration, and supply-chain resilience. However, investment in these sectors remains constrained by energy costs, logistics bottlenecks, financing conditions, and market fragmentation. The opportunity is substantial, but it requires a more integrated investment ecosystem than isolated factory finance.

Financial services and fintech continue to attract capital, but the logic has changed. Investors are more cautious about companies that rely primarily on customer acquisition, transaction volume, or rapid geographical expansion. They are paying greater attention to credit quality, regulatory compliance, unit economics, payments infrastructure, embedded financial services, and the ability to generate recurring revenue under tighter capital conditions. The sector is moving from a period defined by growth funding toward a period in which durable economics, risk management, and consolidation matter more.

3.3 What investment flows signal for African business

The movement of capital into infrastructure and strategic sectors signals that African businesses will increasingly compete on their ability to operate within or alongside essential systems. Companies that can secure power, manage logistics, build reliable supply chains, provide digital infrastructure, process strategic resources, or deliver contracted services are likely to become more investable than firms relying only on projected consumer demand.

For founders and corporate leaders, this means the standard of investability is rising. A credible business case must show more than market size or user growth. It must demonstrate cash-flow visibility, pricing power, working-capital discipline, currency-risk management, reliable governance, and a realistic path to profitability. Investors are asking whether a company can operate through devaluation, inflation, delayed customer payments, import restrictions, regulatory change, and rising interest costs. Those questions affect valuation, debt capacity, financing structure, and ultimately survival.

The report finds that the businesses best

positioned to attract capital will be those that understand their own financial architecture. They will know the duration of their cash cycle, the proportion of revenue exposed to foreign exchange, the cost and maturity of debt, the quality of customer contracts, the sensitivity of margins to energy and logistics costs, and the amount of working capital required to scale. These are not only finance-team questions. They are strategic questions that determine whether expansion creates value or destabilises the enterprise.

The current investment environment also signals an advantage for businesses that can connect local operating insight with institutional standards. African firms often possess better understanding of customer behaviour, informal distribution, regulatory complexity, and local supply chains than foreign competitors. But to convert that advantage into financeable growth, they need stronger reporting, governance, compliance, data quality, and capital discipline. The winning firms will be those that combine local intelligence with institutional credibility.

For larger corporates, the investment shift creates opportunities to reposition as platforms rather than standalone operators. A manufacturer that secures power, logistics, supplier networks, and export channels can become a more attractive counterparty for long-term capital than a company that depends on fragmented inputs and volatile spot markets. A technology firm that owns or integrates with core data, payments, or connectivity infrastructure can become more valuable than one competing only for end-user attention. A logistics company that provides reliable movement across markets can create defensible cash flows even when consumer conditions are weak.

The implication for domestic investors is equally important. As global capital becomes more selective, local banks, pension funds, insurers, family offices, and corporate balance sheets will become more central to financing African growth. Domestic capital has advantages in local-currency funding, market knowledge, and longer-term relationships. But these advantages will only be realised if investment structures, regulations, and risk-sharing mechanisms allow domestic institutions to participate in infrastructure, industrial projects, and enterprise growth without taking risks they cannot manage.

3.4 Main risks and distortions

The first major risk is concentration. Africa's investment figures can look stronger than the underlying reality when one or two megaprojects dominate annual flows. This creates a narrative risk. Policymakers may conclude that investment conditions are improving across the economy when capital is actually concentrated in a single real estate development, mining concession, energy project, or infrastructure asset. Investors may also misread a regional headline as proof that financing conditions have improved for ordinary businesses.

The second risk is currency mismatch. Many African companies earn revenue in local currency but borrow in dollars, euros, or other foreign currencies. When local currencies depreciate, the debt burden rises sharply in local-currency terms even if the underlying business remains operationally sound. This is especially dangerous for firms with weak export revenues, regulated prices, or long customer-payment cycles. Currency risk can turn growth capital into a source of insolvency.

The third risk is that announced capital does not become operating capital. Africa has no shortage of memoranda of understanding, project announcements, and investment commitments. The bottleneck is often between announcement and execution. Projects can stall because of land disputes, permit delays, weak grid connections, unclear tariffs, procurement problems, limited local finance, political changes, or incomplete feasibility work. The value of an announced project should therefore never be confused with the value of an operating asset.

The fourth risk is financing-term mismatch. Infrastructure, manufacturing, and climate projects often require long-duration capital, patient ramp-up periods, and stable revenue structures. Yet many businesses must rely on short-term bank facilities or foreign-currency loans because local long-term finance is scarce. This mismatch creates liquidity stress. A firm may own valuable assets and have a viable market, but still fail because its obligations fall due before its cash flows mature.

The fifth risk is weak domestic spillover. Investment can enter Africa without creating proportionate value for African economies if it relies heavily on imported equipment, expatriate services, offshore financing, and

external procurement. The report does not argue that foreign participation is undesirable. It argues that investment quality depends on whether capital builds domestic capability. Local supplier development, skills transfer, technology absorption, processing capacity, tax compliance, and reinvestment are essential if investment is to become part of a broader economic system rather than an isolated enclave.

The sixth risk is policy inconsistency. Investors can manage difficult conditions when rules are clear and stable. They struggle when tariff regimes, tax rules, exchange controls, licensing requirements, local-content provisions, or contract terms change unpredictably. Regulatory unpredictability raises the cost of capital because investors price uncertainty into returns or avoid projects entirely. Governments therefore pay a credibility premium when policy changes are poorly communicated or weakly implemented.

3.5 Priority actions for business, investors, policymakers, and regulators

For African businesses, the immediate priority is to become financeable on the basis of operational and financial discipline. This means strengthening governance, improving financial reporting, understanding working-capital requirements, managing foreign-exchange exposure, and aligning capital structure with the duration of assets and cash flows. Businesses should not accept capital simply because it is available. They should assess whether the maturity, currency, covenants, and repayment profile of financing fit the business model.

For investors and lenders, the priority is to underwrite productive capacity rather than narratives alone. Capital should favour projects and enterprises that reduce structural costs, create resilient cash flows, deepen local supply chains, and have credible governance. Investors should also improve their own risk models. Africa is diverse, and broad continental risk premiums can obscure attractive opportunities in specific countries, sectors, and firms. Better underwriting should distinguish between genuine risk and information gaps that can be reduced through local partnerships, guarantees, and stronger due diligence.

For policymakers, the priority is to improve the operating conditions that determine whether investment can be deployed successfully. This includes power reliability, project preparation, contract enforcement, foreign-exchange management, regulatory consistency, efficient licensing, and trade facilitation. Investment promotion must move beyond attracting announcements. It should focus on helping projects reach financial close, become operational, and develop local economic linkages.

For regulators, the priority is to strengthen credibility. Clear rules for repatriation, financial -market participation, public-private partnerships, digital infrastructure, energy tariffs, pension-fund allocation, and competition can lower uncertainty and reduce financing costs. Regulators should also ensure that investment frameworks protect public value without creating arbitrary barriers that deter long-term capital.

For development finance institutions and ecosystem partners, the priority is to use concessional and catalytic capital more strategically. Guarantees, first-loss instruments, local-currency facilities, political-risk cover, project-preparation support, and blended-finance structures can help mobilise private capital where commercial risk is real but manageable. The objective should not be to replace private investment. It should be to make sound projects investable and then allow commercial and domestic capital to scale them.

The report's conclusion is that Africa's next investment cycle will be defined less by who announces the largest deals and more by who can convert capital into operating assets, stronger enterprises, resilient jobs, and productive systems. Money is moving. The strategic task is to ensure that it moves into the parts of the economy that can compound value over time.

4230,0
8950,0
3690,0
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01-Jan-09
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Introduction: Africa's Investment Landscape

4

4.1 Africa's investment story after the global capital reset

Africa's investment story must now be read against a global reset in how capital is priced, allocated, and protected. For much of the decade following the global financial crisis, historically low interest rates in advanced economies pushed investors to search for returns in emerging and frontier markets. Growth narratives carried substantial weight. Large populations, rising consumer demand, rapid urbanisation, mobile adoption, and untapped infrastructure needs made Africa attractive to investors willing to tolerate early-stage uncertainty.

That environment has changed. Global interest rates are higher. Geopolitical fragmentation has increased. Governments in major economies are using industrial policy more aggressively. Supply-chain resilience, energy security, data sovereignty, critical minerals, and strategic technology are now influencing investment decisions alongside traditional considerations such as growth rates, market size, and returns.

The result is not a withdrawal of international capital from Africa. It is a reordering of the investment case. Investors are more selective about which countries, assets, businesses, and revenue models they are willing to support. They are placing greater value on projects that can secure contracted cash flows, protect against inflation, manage currency risk, serve strategic demand, or operate as essential infrastructure.

UN Trade and Development's World Investment Report 2026 captures this shift. It identifies five strategic sectors drawing an increasing share of global investment: artificial intelligence infrastructure and related technologies, advanced and sensitive technologies, critical minerals, energy-transition technologies and services, and semiconductors. While Africa is not yet a major destination for all five areas, the continent is becoming increasingly important to the global investment map because of its renewable-energy potential, mineral resources, demographic scale, infrastructure needs, and geographic position in emerging supply chains.

Africa therefore enters the current investment cycle with an advantage and a risk. The advantage is that the continent possesses assets the world increasingly needs. The risk is that investment may remain selective, concentrated, and externally driven, flowing toward extractive or infrastructure assets without creating deep local productive capacity. The central question is whether Africa can use this moment to attract capital that builds industries, resilient firms, skilled employment, and local financial depth rather than merely capitalising on temporary global demand.

4.2 From aggregate inflows to the quality of capital

Headline investment figures are useful, but they can be misleading when treated as the complete story. A high foreign direct investment figure may reflect a single cross-border acquisition, a large property development, a mining concession, a refinancing transaction, or the reinvestment of earnings by an existing multinational. It may be economically beneficial, but it does not automatically show that new factories are being built, small businesses are getting finance, or local employment is rising.

UN Trade and Development reported that Africa received approximately $70 billion in FDI in 2025. This was lower than the $94 billion recorded in 2024, but the 2025 figure was still Africa's third-highest since 1990 and roughly one third above the continent's long-term average. The 2024 total was shaped by exceptional large transactions, which means that interpreting the subsequent decline as a simple fall in confidence would be inaccurate.

The correct interpretation is more nuanced. Africa is attracting capital, but investment is highly concentrated by country, project, and sector. A small number of resource, energy, infrastructure, and large real-estate transactions can materially alter the continental picture. This means that aggregate figures may overstate the accessibility of capital for ordinary African firms, particularly small and medium-sized enterprises seeking working capital, growth finance, equipment loans, trade facilities, or long-term local-currency debt.

The quality of capital must therefore be evaluated through several questions. Does it finance a productive asset or simply transfer ownership of an existing one? Does it bring technology, skills, supplier relationships, or export capacity? Is it patient enough to support the operating cycle of the business? Is it

denominated in a currency that matches the company's revenue base? Does it remain available during macroeconomic volatility? Does it create domestic linkages or function as an isolated enclave?

These questions are especially important in sectors with long development cycles. A power plant, port, manufacturing facility, pharmaceutical plant, or data centre can take years to develop before generating meaningful returns. Such projects require capital with long maturities, stable terms, and realistic assumptions about ramp-up. Short-term or expensive capital can undermine otherwise viable businesses. In this sense, the quality of capital is not a secondary consideration. It is often the difference between a project that becomes an operating asset and one that becomes a stalled ambition.

4.3 Foreign direct investment, portfolio flows, private equity, venture capital, debt, and development finance

Africa's investment landscape is not a single market. It is a layered system of different capital types, each with different motivations, return expectations, time horizons, and constraints.

Foreign direct investment remains one of the most visible forms of international capital. It includes investment by multinational firms in subsidiaries, physical assets, acquisitions, intra-company loans, and reinvested earnings. FDI is valuable because it can bring long-term capital, access to technology, management expertise, export networks, and global supply-chain relationships. But FDI can also be concentrated in extractive assets, finance, real estate, or acquisitions that have limited direct impact on domestic productive capacity.

Portfolio flows are more liquid and more volatile. They include investment in government bonds, corporate bonds, listed equities, and other financial securities. Portfolio capital can lower borrowing costs, deepen financial markets, and signal confidence in macroeconomic reforms. However, it can reverse quickly when global rates rise, currency expectations worsen, or political uncertainty increases. For countries dependent on external financing, sudden portfolio outflows can create exchange-rate pressure and complicate monetary policy.

Private equity and private debt have become increasingly important in African markets, particularly where public capital markets are shallow and banks are unable or unwilling to finance growth-stage companies. According to the African Private Capital Association, private equity and private debt partly offset the continued contraction in venture capital during the first half of 2026. Business services and energy accounted for more than half of capital deployed, while venture capital volume declined and fintech lost its long-standing lead in deal activity. This suggests that private capital is moving toward more mature, asset-backed, or cash-flow-oriented opportunities.

Venture capital remains important, particularly for digital businesses and technology-enabled services. However, its role is changing. The earlier investment cycle rewarded rapid expansion, user growth, and market capture. The current cycle rewards capital efficiency, customer retention, gross-margin durability, regulatory compliance, and realistic paths to profitability. According to Briter's 2026 analysis of venture investment in Africa, funding was spread across more than forty sectors, but the value remained concentrated in health, fintech, mobility, and clean technology. This reflects continued investor interest in technology, but also a greater willingness to fund businesses linked to real-economy problems rather than consumer applications alone.

Debt finance is both essential and difficult. African firms need debt to finance equipment, inventory, infrastructure, housing, trade, and working capital. Yet the cost of debt is often high, maturities are short, collateral requirements are demanding, and foreign-currency borrowing can create dangerous balance-sheet exposure. The development of private credit, local-currency financing, credit guarantees, and risk-sharing instruments is therefore central to the continent's investment future.

Development finance institutions play a distinct role because they can finance projects that commercial capital views as too early, too risky, or too long-term. Their role includes lending, equity investment, guarantees, political-risk insurance, technical assistance, and project preparation. But development finance has limits. It cannot replace the scale of commercial and domestic capital required for Africa's infrastructure and enterprise needs. Its greatest value lies in reducing risk, improving project quality, and mobilising other investors.

4.4 Why sector, structure, and terms matter more than headline deal values

A major investment announcement can create a powerful narrative. It can signal confidence, attract attention, and influence policy discussions. But the value of a deal is often less important than its sector, structure, and terms.

Sector matters because different activities create different types of economic value. A large investment in raw-material extraction may generate export earnings and fiscal revenue, but its broader impact depends on local processing, infrastructure links, supplier networks, skills development, and revenue management. A smaller investment in industrial equipment, logistics software, food processing, or distributed energy may create a deeper local economic effect if it improves productivity across many firms and communities.

Structure matters because it determines who carries risk and who captures value. A project financed entirely through foreign-currency debt may expose local consumers, governments, or companies to exchange-rate risk. An infrastructure concession may be commercially attractive but politically fragile if tariffs are not affordable or contracts are poorly understood. An equity investment may provide patient capital, but it can also lead to pressure for rapid exits that do not align with long-term enterprise development.

Terms matter because they influence the survival and strategic choices of the businesses receiving capital. Interest rates, repayment schedules, covenants, collateral requirements, currency denomination, dividend expectations, and governance rights all shape how a company can operate. A profitable business can fail if its debt repayments arrive before customer cash flows are collected. A company can grow quickly but destroy value if it sells products at thin margins while financing inventory with expensive short-term borrowing.

This is why the report gives particular attention to cash conversion cycles, liquidity stress, leverage, and return on invested capital. These measures reveal more about the health of an investment than a headline funding figure. They show whether capital is supporting sustainable operations or simply masking financial weakness.

The same principle applies at country level. A country may attract a record FDI figure while still having a weak pipeline of bankable projects, limited local-currency finance, unreliable energy, and high costs for domestic firms. Another country may receive fewer headline deals but be steadily building a more resilient investment environment through stronger institutions, better infrastructure, credible policies, and growing domestic capital markets.

4.5 Africa's investment landscape in 2026

The investment landscape in 2026 is marked by both opportunity and unevenness. Africa's growth outlook remains comparatively resilient, despite global volatility. The African Development Bank projects continental growth to remain positive, with differences across regions driven by commodity exposure, reform momentum, inflation, debt levels, and political conditions. Yet the availability of capital varies sharply between countries and sectors.

North Africa has attracted substantial attention because of its proximity to European markets, large domestic economies, manufacturing bases, energy links, and transport connections. Egypt and Morocco in particular are positioned around logistics, industrial production, renewable energy, automotive supply chains, and digital services. However, their investment narratives also depend on macroeconomic stabilisation, currency management, and debt conditions.

East Africa continues to attract capital into logistics, digital services, renewable energy, financial technology, urban infrastructure, agriculture, and consumer markets. Kenya remains an important regional hub, while Rwanda's policy and regulatory ambitions continue to attract interest in services and technology. Tanzania, Uganda, Ethiopia, and other markets present significant potential, though they differ substantially in market scale, regulatory conditions, and infrastructure depth.

West Africa remains attractive because of population scale, natural resources, food systems, financial services, and consumer demand. Nigeria remains too large to ignore, but investors are increasingly focused on whether foreign-exchange reforms, energy investment, regulatory changes, and macroeconomic stabilisation can create a more predictable business environment. Ghana, Côte d'Ivoire, Senegal, and other markets offer differentiated opportunities in financial

services, infrastructure, agriculture, manufacturing, and regional trade.

Southern Africa retains advantages in capital markets, industrial capability, mining, logistics, renewable energy, and corporate depth. South Africa remains the most developed financial market on the continent and a major base for institutional capital and regional corporate activity. Mozambique, Zambia, Botswana, Namibia, and other countries are attracting attention linked to energy, minerals, trade routes, and industrial potential.

Central Africa is more challenging from an investment perspective because of infrastructure deficits, political risk, and regulatory uncertainty in some markets. Yet the region's natural resources, energy potential, and demographic opportunities mean it cannot be excluded from the long-term continental investment story.

The most important feature of the 2026 landscape is uneven access to finance. Large, well-structured projects in strategic sectors can attract global capital. Smaller firms, projects outside major hubs, and businesses serving local markets often face much more difficult conditions. The gap between capital-rich and capital-poor segments of African economies remains wide.

4.6 From macro capital flows to enterprise outcomes

The ultimate test of investment is not how much capital crosses a border. It is what happens inside the economy after that capital arrives.

For enterprises, investment should improve operating capacity. It should allow firms to acquire equipment, strengthen supply chains, expand productive assets, develop staff, adopt technology, improve quality, and enter new markets. It should reduce vulnerability to shocks rather than increase it. It should create a capital structure that supports, rather than distorts, the underlying business model.

For households, productive investment should create jobs, raise incomes, lower the cost of essential services, and expand access to goods and opportunities. For governments, it should strengthen tax revenues, reduce infrastructure gaps, improve export capacity, and support long-term fiscal resilience. For investors, it should generate returns that are commensurate with risk without requiring unsustainable extraction of value.

These outcomes do not happen automatically. Capital must be connected to institutions, infrastructure, skills, local firms, and functioning markets. A renewable-energy investment requires reliable grid connections, viable tariff structures, enforceable contracts, and credible offtakers. A data centre requires power, fibre, cybersecurity, and enterprise demand. A manufacturing investment requires inputs, logistics, skilled labour, finance, and market access. A fintech investment requires regulatory clarity, consumer trust, risk controls, and sustainable economics.

The chapters that follow examine these connections in detail. They identify the sectors drawing capital, the barriers that prevent investment from becoming productive capacity, and the financial disciplines that determine whether enterprises can convert funding into long-term value. The core question remains constant: where the money is moving is important, but what that movement signals for African business is more important.

5

Key Trends and Developments in Africa's Investment Flows

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5.1 From volume to selectivity: the new logic of African capital allocation

The central trend in Africa's current investment cycle is not the disappearance of capital. It is the increasing selectivity of capital. Investors are still allocating money to African markets, but they are doing so with clearer preferences for strategic sectors, protected cash flows, asset-backed opportunities, and projects that can withstand macroeconomic disruption.

This is a major change from the earlier phase of African investment, when broad themes such as urbanisation, consumer growth, financial inclusion, and mobile adoption could attract capital even where business models were still developing. Those themes remain relevant, but they are no longer sufficient on their own. Capital providers now ask more demanding questions. Can the business generate reliable cash flows? Is the revenue protected from inflation or currency depreciation? Is the project supported by strong contracts or credible offtakers? Can debt be serviced if global interest rates remain high? Is the country's regulatory environment stable enough to justify a long-term commitment?

UN Trade and Development's 2026 assessment shows that Africa's investment flows remain concentrated in a limited number of economies and projects linked to natural resources, energy, infrastructure, and selected manufacturing. It attributes this pattern to three overlapping forces: growing demand for energy infrastructure, global interest in critical minerals for batteries and advanced manufacturing, and the search for new industrial and logistics locations as supply chains are reconfigured.

This shift is changing the standard by which African opportunities are assessed. Investors are moving away from purely narrative-led allocation and toward sectors where physical assets, long-term contracts, scarcity value, or strategic necessity can support returns. A solar project with a credible power-purchase agreement, a data centre with secure energy and anchor tenants, a logistics corridor linked to regional trade, or a minerals-processing project with established buyers can be easier to finance than a business that depends on uncertain discretionary consumer spending.

For African businesses, this selective environment creates a more disciplined market. Companies must demonstrate not only opportunity, but investability. They need to show that they understand their cost base, cash conversion cycle, currency exposure, customer concentration, and governance obligations. Firms that can translate these operational realities into credible financial structures will find that capital is still available. Those that rely on ambition without financial discipline will face a much harder fundraising environment.

5.2 Energy, critical minerals, and resource-linked infrastructure

Energy is now one of the most important destinations for investment into Africa because it is both a commercial sector and the foundation for every other productive activity. Manufacturing, mining, agriculture, logistics, health care, digital services, and households all depend on reliable and affordable power. Yet many African countries continue to face electricity shortages, high tariffs, grid instability, and limited transmission capacity.

This creates a large investment opportunity across generation, transmission, distribution, storage, gas infrastructure, mini-grids, commercial and industrial solar, battery systems, and energy-efficiency solutions. Investors are attracted to these areas because energy assets can generate long-duration revenues if tariffs, payment structures, and offtake agreements are credible. Governments are attracted because energy investment can reduce one of the most severe constraints on industrialisation and enterprise growth.

According to UN Trade and Development, greenfield investment announcements in Africa's electricity and gas-supply sector rose sharply between 2021 and 2025. The value of announced investment in this area reached $289 billion over that five-year period, compared with $86 billion between 2016 and 2020. This reflects the convergence of Africa's domestic energy deficit with global demand for renewable-energy capacity, gas transition infrastructure, and low-carbon industrial inputs.

Critical minerals are tightly linked to this energy story. Africa holds significant reserves of copper, cobalt, lithium, graphite, manganese, platinum-group metals, and rare earths. These materials are essential to batteries, electric

vehicles, grid storage, renewable-energy equipment, electronics, defence systems, and advanced manufacturing. Capital is moving toward African mineral assets because global industrial strategies increasingly depend on securing access to these materials.

However, the real economic question is not whether Africa can attract mining investment. It clearly can. The question is whether mineral capital will support broader value addition. Extraction alone can generate export revenues and fiscal receipts, but it creates limited domestic wealth if refining, processing, component manufacturing, logistics, engineering, and technology development remain offshore. Countries with mineral resources are therefore trying to negotiate more local processing, industrial zones, power infrastructure, and skills development alongside extraction projects.

Resource-linked infrastructure is becoming part of the same investment thesis. Mines need roads, rail, ports, power, water, and communications. If planned well, this infrastructure can serve wider economies. If planned narrowly, it can become an enclave system designed only to move raw materials from a site to a port. The difference has major implications for business. Broad-use infrastructure can lower logistics costs for domestic firms, support agriculture and manufacturing, and attract additional investment. Enclave infrastructure may generate returns for the project but leave surrounding economies largely unchanged.

5.3 Digital infrastructure, data centres, connectivity, and the AI economy

Digital infrastructure has moved from a niche technology category to a core investment theme. Data centres, fibre networks, cloud systems, telecommunications towers, submarine cables, edge-computing facilities, and enterprise connectivity are now essential components of modern economic infrastructure.

The growth of artificial intelligence, cloud computing, financial technology, e-commerce, cybersecurity, digital public services, and enterprise software is increasing demand for storage, processing, and reliable network capacity. Yet Africa remains severely underrepresented in global digital infrastructure. The Africa Data Centres Association reported in 2026 that the continent represents around one fifth of the global population but only about 0.6 percent of global data-centre capacity.

This gap is attracting investment interest, but it also exposes the constraints that determine whether digital projects are commercially viable. Fibre is important, but power has become the primary gating factor. Data centres require high-quality, uninterrupted electricity. They need predictable tariffs, redundant energy supply, secure sites, strong network connections, and customers willing to pay for local hosting and cloud services. In markets where power is unreliable or expensive, developers must often build dedicated energy solutions, long-term power agreements, or hybrid systems involving grid supply, renewable generation, gas, and batteries.

The Africa Data Centres Association estimates that Africa had around 360 megawatts of live data-centre capacity in 2026, with a further 238 megawatts under construction and 656 megawatts planned. This suggests a significant pipeline, but it also shows that capacity expansion alone will not automatically solve the continent's digital deficit. Outside South Africa, average occupancy remains relatively low in some markets because infrastructure is often built ahead of demand, and local enterprise cloud adoption takes time to mature.

For investors, digital infrastructure offers the possibility of stable, contracted, long-duration revenue. For governments, it offers an opportunity to improve data sovereignty, reduce latency, support local artificial-intelligence capacity, and strengthen digital services. For businesses, it can reduce dependence on offshore systems and improve performance of digital products. But the investment thesis depends on power, regulatory certainty, enterprise demand, and the ability to achieve sufficient utilisation.

The broader signal is important. Africa's digital economy is becoming more physical. The next phase of investment is not only about funding applications or payment platforms. It is about financing the energy, computing, connectivity, and security systems on which all digital businesses depend.

5.4 Logistics, transport corridors, industrial platforms, and trade-enabling capital

Investment in logistics is increasingly central to Africa's economic future because the cost and reliability of moving goods often determines whether businesses can compete. Producers face high costs for transport, warehousing, customs clearance, inventory management, and last-mile distribution. These costs reduce margins, increase working-capital requirements, and discourage firms from entering regional or export markets.

Capital is therefore moving toward transport corridors, ports, warehouses, cold-chain systems, freight platforms, trucking fleets, rail links, industrial parks, and trade-facilitation technology. Investors are not only funding the goods that Africa produces. They are increasingly funding the systems that allow those goods to move.

The strategic importance of logistics is reinforced by the African Continental Free Trade Area. The agreement creates the possibility of larger regional markets, but that possibility depends on whether goods can move across borders efficiently. Trade agreements cannot create practical market integration if trucks face repeated border delays, ports remain congested, customs processes are inconsistent, and warehousing networks are fragmented.

Logistics investment can improve capital efficiency across the economy. A reliable warehouse can reduce inventory loss and improve cash conversion. A cold-chain facility can allow food producers to sell higher-value products and reduce spoilage. A port upgrade can lower import costs for manufacturers and improve export competitiveness. A digital freight platform can improve asset utilisation for transport companies and reduce empty backhaul journeys.

However, logistics projects also face challenges. Their returns depend on throughput, which depends on trade volumes, industrial activity, border policy, road quality, and the behaviour of multiple public agencies. A single weak link can limit the value of a larger investment. This means logistics investors increasingly look for projects that are integrated into wider ecosystems rather than standalone assets.

For African businesses, the movement of capital into logistics signals both opportunity and a new competitive standard. Companies that can integrate reliable warehousing, distribution, cross-border compliance, and supply-chain planning into their operations will have a istronger case for investment. Those that remain dependent on fragmented, unpredictable logistics will continue to carry higher costs and face greater liquidity pressure.

5.5 Manufacturing, food processing, pharmaceuticals, and strategic supply chains

Manufacturing is re-emerging as an investment priority, but in a more targeted form than earlier industrialisation strategies. Capital is not flowing evenly into every kind of factory. It is moving toward sectors where Africa can reduce import dependence, serve expanding domestic and regional markets, build resilience against supply-chain disruption, or connect to global demand for strategically important goods.

Food processing is one of the most important examples. Africa has large agricultural resources, growing urban demand, and significant import bills for processed foods. Investment in milling, cold storage, packaging, dairy processing, edible oils, fertiliser, agricultural inputs, and food logistics can create value across farming, transport, retail, and export markets. But these investments require reliable power, water, transport, quality control, and access to finance across the supply chain.

Pharmaceutical manufacturing is another strategic area. The pandemic reinforced the risks of dependence on imported medicines, vaccines, diagnostics, and essential supplies. African governments, development finance institutions, and corporate investors have increased attention on local pharmaceutical production, but the sector remains difficult. It requires regulatory credibility, skilled staff, quality assurance, procurement certainty, research capacity, and scale. Investment in a pharmaceutical facility is not only an industrial transaction. It is a long-term institutional commitment.

Light manufacturing and industrial inputs also remain important. Packaging, building materials, consumer goods, industrial chemicals, machinery maintenance, and assembly operations can create local value where market size, logistics, and input availability support them. The opportunity is strongest where manufacturing is linked to regional demand, resource processing, or infrastructure development rather than relying solely on narrow national consumption.

UN Trade and Development's analysis of emerging-market investment trends notes that manufacturing supply chains, renewable energy, and the digital economy were the main drivers of greenfield investment in Africa between 2020 and 2024. The value of greenfield projects increased substantially relative to the previous five-year period, indicating that investors are responding to shifts in supply chains and strategic production.

For businesses, this means manufacturing investment will increasingly reward operational discipline. Investors will assess energy arrangements, supplier reliability, inventory turnover, working-capital needs, foreign-exchange exposure, compliance systems, and export potential. Manufacturing cannot be financed sustainably through optimism alone. It requires a clear understanding of cost structures and cash cycles.

5.6 Financial services, embedded finance, and the evolution of fintech capital

Financial services remain one of Africa's most dynamic investment areas, but the sector is changing. The first major wave of fintech investment focused on payments, mobile wallets, merchant acquisition, and consumer access. The next wave is increasingly focused on infrastructure, credit quality, embedded finance, compliance, enterprise services, insurance, and the integration of financial tools into real-economy platforms.

This shift reflects a broader maturity in the investment environment. Investors are less willing to fund customer growth indefinitely without evidence that users generate sustainable revenue. They are paying closer attention to fraud controls, loan performance, regulatory licences, data security, unit economics, and the cost of acquiring and retaining customers.

The African Private Capital Association reported that financials lost their long-standing lead in African venture deal activity during the first quarter of 2026, while industrials captured a larger share of transactions. Health care and consumer staples also increased their share. This does not mean financial technology is declining. It means capital is becoming more diversified and more closely tied to sectors where technology can solve operational problems. Embedded finance is part of this evolution.

Payments, lending, insurance, working-capital tools, and settlement systems are increasingly being integrated into retail, logistics, agriculture, health care, construction, and enterprise platforms. A logistics business that provides payments and trade finance to its customers, for example, can generate stronger relationships and more stable revenue than one that only moves goods. An agricultural platform that integrates payments, input credit, insurance, and market access can improve cash flow throughout the value chain.

However, financial services carry distinct risks. Credit products can grow rapidly before underwriting systems are mature. Consumer lending can become vulnerable to inflation, unemployment, or currency disruption. Payment platforms can face regulatory scrutiny, cybersecurity threats, and high compliance costs. The firms most likely to attract durable capital will be those that treat risk management, governance, and profitability as central to their model rather than as concerns to address after scale has been achieved.

5.7 Climate finance, blended capital, and the contest for bankable projects

Climate finance has become one of the most important channels through which international capital can enter African economies. Renewable energy, adaptation infrastructure, sustainable agriculture, water systems, resilient transport, green buildings, and low-carbon industrial processes all require substantial investment. Africa's climate needs are large, but the continent's share of global climate finance remains below what its vulnerability and development requirements would suggest.

Blended finance is often presented as a solution. It combines concessional capital, guarantees, grants, technical assistance, or first-loss structures with commercial investment. The purpose is to reduce risk or improve returns sufficiently for private investors to participate in projects that would otherwise remain unfunded.

Blended finance can be effective when it is used carefully. It can help finance early-stage project preparation, provide currency hedging, reduce political-risk exposure, support lower-income customers, or make long-term infrastructure

projects bankable. It can also help crowd in domestic lenders and institutional investors who might otherwise avoid unfamiliar sectors.

But blended finance is not a substitute for commercial fundamentals. Projects still need viable revenue models, credible sponsors, sound governance, clear contracts, and realistic demand. A guarantee cannot rescue a project with weak economics. Concessional capital can reduce risk, but it cannot remove the need for capable implementation.

The central challenge is the shortage of bankable projects. Africa has many investment needs, but fewer projects that are fully prepared, properly structured, legally clear, financially viable, and ready for private capital. The gap between ideas and investable assets remains one of the biggest barriers to scaling climate and infrastructure finance.

For businesses, this means project preparation is becoming a competitive advantage. Companies that can produce credible feasibility studies, environmental assessments, financial models, risk-allocation frameworks, and contract structures will be better positioned to access blended and commercial capital. For governments, the priority is to build project pipelines rather than merely announce ambitions.

5.8 The changing geography of capital

Africa's investment flows are not distributed evenly. Geography matters because each region offers different combinations of market size, resource endowment, infrastructure, regulatory conditions, financial depth, and access to global trade routes.

North Africa has become increasingly important because of its connection to European markets, large domestic economies, manufacturing bases, transport corridors, and renewable-energy potential. Egypt and Morocco have attracted interest in industrial production, automotive supply chains, logistics, energy, property, and digital services. Tunisia also offers manufacturing and services capabilities, though its macroeconomic conditions remain a key factor for investors.

East Africa has become a major destination for investment in logistics, digital services, renewable energy, financial technology, agriculture, and urban infrastructure. Kenya remains a regional business and financial hub, while Ethiopia's large population and industrial ambitions continue to attract long-term interest despite regulatory and currency challenges. Tanzania, Uganda, Rwanda, and other markets provide differentiated opportunities based on resource potential, policy environment, and connectivity.

West Africa combines large population markets, natural resources, food systems, financial services, and consumer demand. Nigeria remains the largest single market in the region and a key destination for investors, but its investment case depends heavily on the success of macroeconomic and foreign-exchange reforms. Côte d'Ivoire, Ghana, Senegal, and other markets offer opportunities in infrastructure, agriculture, energy, logistics, and regional services.

Southern Africa remains a key source of institutional capital and corporate capability. South Africa's financial markets, industrial base, mining sector, renewable-energy transition, and regional corporate networks give it a distinctive position. Namibia, Botswana, Zambia, Mozambique, and other markets are attracting attention linked to minerals, energy, logistics, and cross-border infrastructure.

Central Africa remains less integrated into continental investment flows because of infrastructure gaps, smaller formal markets, and political-risk concerns in some countries. Yet its natural-resource base and long-term urbanisation potential mean that it will remain relevant, especially where infrastructure and governance conditions improve.

For investors, the implication is that Africa should not be treated as a single allocation. The continent is a portfolio of distinct markets, each with its own risk profile, capital needs, and sector opportunities. The most successful investors will combine regional strategies with deep country-level understanding.

5.9 The changing investor base

The investor base active in Africa is also changing. Development finance institutions remain important, especially for infrastructure, climate, financial inclusion, and private-sector development. They provide capital, guarantees, political-risk insurance, technical support, and

credibility that can help unlock commercial participation.

However, development finance alone cannot meet Africa's needs. Domestic institutional capital will need to play a much larger role. Pension funds, insurance companies, sovereign wealth funds, local banks, family offices, corporate treasuries, and high-net-worth investors hold significant potential, particularly where local-currency financing is needed. Their participation is often constrained by regulation, limited project pipelines, risk-management requirements, and the absence of suitable investment vehicles.

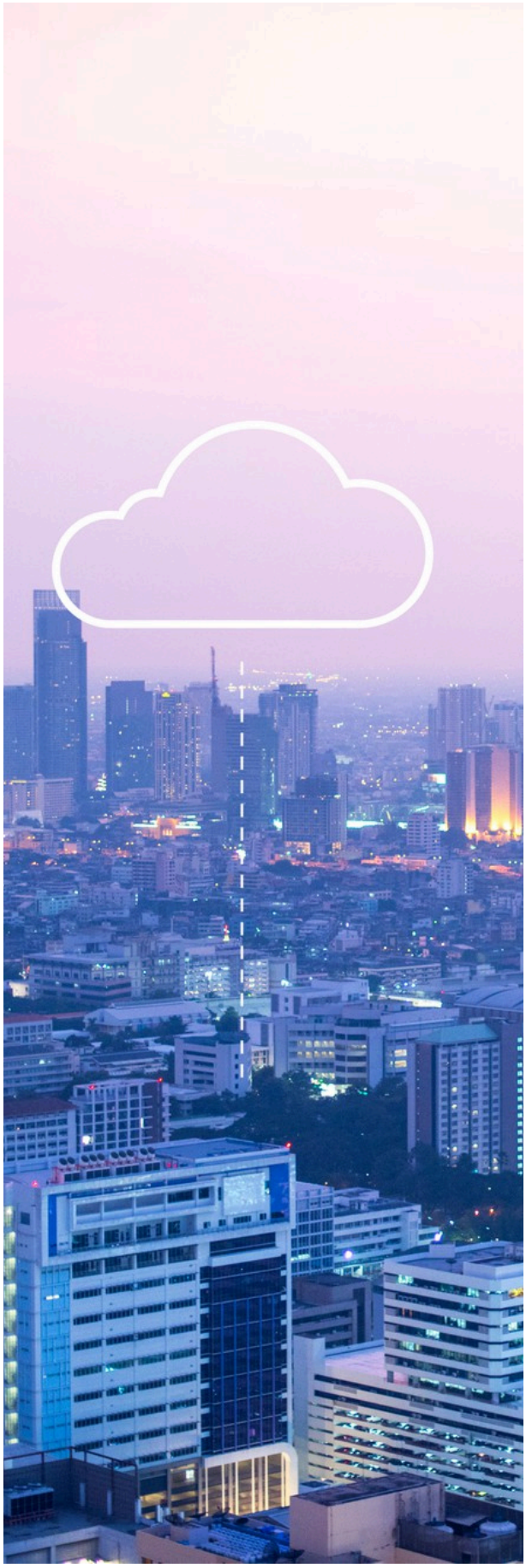
Gulf capital is becoming increasingly important across ports, logistics, renewable energy, real estate, agriculture, and strategic infrastructure. Gulf sovereign funds and corporates bring long-term capital, experience in large asset development, and strategic interest in food security, trade corridors, energy transition, and global logistics. Their growing role adds another dimension to Africa's investment landscape.

Chinese investment remains important, particularly in infrastructure, manufacturing, mining, telecommunications, and trade. Its form is evolving as Chinese institutions become more selective and as African governments seek more sustainable financing structures. European and United States investors also remain significant, especially in energy, private equity, technology, manufacturing, health care, and climate-related sectors.

Private equity and private credit funds are increasingly important because they can finance growth-stage enterprises and mid-market companies that do not fit the requirements of commercial banks or public markets. But their ability to scale depends on exit routes, local-currency financing, governance standards, and economic stability.

The changing investor base creates opportunities for African businesses, but it also makes capital more complex. Different investors bring different requirements, expectations, and strategic priorities. Businesses must learn to match their financing needs with the right type of capital rather than treating all investment as interchangeable.

The pattern is clear. Africa's investment flows are becoming more strategic, more infrastructure-linked, more selective, and more diverse in source. The next chapter examines the barriers that prevent these flows from translating into broad-based productive investment.



6

Challenges and Barriers to Productive Investment

6.1 Capital concentration and the danger of headline-driven analysis

Africa's investment story is frequently told through large numbers. A record foreign direct investment figure, a multibillion-dollar energy commitment, a major acquisition, or a heavily publicised technology round can create the impression that a country or region has entered a new phase of investor confidence. These developments matter, but they can also distort understanding of what is actually happening on the ground.

The central problem is concentration. A small number of transactions can materially influence national and continental investment data. In 2024, Africa's foreign direct investment total was lifted sharply by exceptional large transactions. When those transactions were not repeated at the same scale in 2025, the headline FDI figure declined. Yet this did not necessarily mean that Africa had become less investable. It showed that aggregate figures can be heavily shaped by a narrow set of projects.

This creates several risks. Policymakers may focus on attracting a few large deals while underinvesting in the systems required for a broader pipeline of medium-sized enterprises, industrial projects, and local investors. Businesses may assume that high headline inflows mean financing conditions have improved, only to find that banks and investors remain cautious about their sector or country. External observers may overestimate market depth because they confuse a large transaction with a broad improvement in investment conditions.

The report therefore treats concentration as a signal of structural weakness as well as financial opportunity. A healthy investment environment is not defined only by the ability to secure a megaproject. It is defined by whether capital reaches a range of sectors, business sizes, regions, and stages of development. It is defined by whether local firms can obtain working capital, whether industrial projects can access long-term finance, and whether domestic investors can participate in productive assets.

For businesses, the practical implication is that they should not measure their own prospects against national FDI headlines. A large resource deal or infrastructure commitment may have little immediate impact on the availability of finance for manufacturing, services, agriculture, or technology businesses. Firms need to understand the actual sources of capital available to them, the instruments those sources can provide, and the conditions attached to those instruments.

6.2 Currency volatility, convertibility risk, and repatriation constraints

Currency risk remains one of the most significant barriers to long-term investment in Africa. It affects both foreign investors and domestic businesses. For foreign investors, the concern is whether returns earned in local currency can be converted into hard currency and repatriated at a predictable exchange rate. For domestic firms, the concern is whether imported equipment, raw materials, debt obligations, or technology services will become unaffordable when local currencies depreciate.

The risk is particularly acute where businesses earn revenues in local currency but borrow in dollars or euros. A company may take foreign-currency debt because it is cheaper or longer-term than domestic borrowing. But if the local currency weakens, the local-currency cost of servicing that debt rises sharply. Revenue may remain stable in local terms while liabilities expand. This can turn a healthy operating business into a financially distressed one.

Convertibility risk adds another layer. In some markets, foreign exchange may be scarce, controlled, or rationed. Businesses may struggle to access currency needed for imports, debt payments, dividends, software licences, fuel, spare parts, or other essential inputs. Foreign investors may face delays in repatriating dividends or sale proceeds. These constraints increase the risk premium required by investors and can cause them to limit exposure even when the underlying commercial opportunity is attractive.

The impact on investment decisions is substantial. Capital providers may demand higher returns, shorter tenors, offshore revenue structures, hard-currency contracts, political-risk insurance, or guarantees. These protections can make projects more expensive and may shift risks onto governments, customers, or businesses. In sectors such as energy, infrastructure, telecommunications, and manufacturing, currency risk can determine whether a project reaches financial close.

For policymakers, the challenge is not to eliminate currency risk, which is impossible, but to manage it credibly. Transparent foreign-exchange markets, clear repatriation rules, realistic exchange-rate policies, and instruments for local-currency financing can help lower uncertainty. For businesses, the priority is to understand currency exposure in detail. They need to model different exchange-rate scenarios, match revenue and debt currencies where possible, diversify suppliers, and avoid treating foreign-currency debt as cheap money without recognising its embedded risk.

6.3 High cost of capital and the mismatch between financing terms and business cycles

The cost of capital is one of the most persistent constraints on African enterprise growth. Interest rates are often high, debt maturities short, collateral requirements demanding, and equity expensive. These conditions make it difficult for businesses to finance long-term investments in machinery, technology, warehousing, power systems, factory capacity, and product development.

A major problem is the mismatch between the financing available and the cash cycles of the investments that businesses need to make. Industrial equipment may take years to generate a full return. Infrastructure projects can have development periods of several years before they produce stable revenue. Agricultural processing businesses may have seasonal cash flows. Technology companies may require investment in product development and customer acquisition before achieving scale. Yet many African businesses rely on short-term bank facilities that need to be repaid or renewed within months.

This mismatch creates liquidity stress. A business may have a valuable asset and a promising market but still face crisis because repayments fall due before cash inflows mature. It may use working-capital facilities to finance long-term assets, leaving little liquidity for inventory, salaries, supplier payments, or expansion. It may refinance repeatedly at higher rates, compounding the burden.

High financing costs also distort investment decisions. Firms may avoid productivity-enhancing investments because the expected return does not exceed the cost of borrowing. They may choose quick-turnover trading activity over longer-term manufacturing or processing. Investors may prefer asset-light businesses with short payback periods even when infrastructure or industrial projects would generate larger long-term economic benefits.

The solution requires more than lower policy rates. It requires deeper domestic capital markets, stronger credit information systems, local-currency financing vehicles, risk-sharing instruments, asset-based finance, leasing markets, and more patient sources of capital. It also requires businesses to improve financial planning. Companies must distinguish between financing for working capital, equipment, growth, and resilience. Using the wrong instrument for the wrong purpose is one of the most common causes of financial distress.

6.4 Project preparation gaps and the shortage of bankable assets

Africa has no shortage of investment opportunities. It has energy deficits, transport gaps, housing needs, growing cities, agricultural potential, digital demand, and a young population. The challenge is that many opportunities do not arrive in a form that investors can finance.

A bankable project requires more than an attractive idea. It needs a credible sponsor, a clear business model, realistic demand assumptions, defined land rights, permits, technical studies, environmental assessments, legal documentation, financing structure, risk allocation, and a pathway to revenue. For infrastructure, it may require an offtake agreement, tariff framework, public guarantees, and evidence that the project can be completed on time and within budget.

Many projects fall short at this stage. Feasibility studies may be incomplete. Demand estimates may be overly optimistic. Land ownership may be contested. Environmental approvals may be delayed. Contracts may not define who bears currency, regulatory, or payment risk. Public agencies may lack the capacity to prepare and negotiate complex transactions. Private developers may have good ideas but insufficient capital to finance early-stage development.

The result is a persistent gap between capital seeking opportunities and projects ready to

receive it. Investors often report that there is substantial capital available for well-prepared, commercially viable projects, but too few meet the required standard. Governments, meanwhile, may interpret investor caution as lack of interest when the real issue is that projects are not sufficiently prepared or structured.

Project preparation is therefore one of the most important areas for intervention. Development finance institutions, governments, professional advisers, and private sponsors need to invest more in feasibility work, legal structuring, environmental and social planning, financial modelling, and risk allocation. This work may seem technical, but it is the foundation on which investment decisions are made.

For businesses, the lesson is clear. Investment readiness is not a presentation exercise. It is an operating discipline. A company seeking capital must know its market, costs, risks, revenue model, supply chain, regulatory exposure, and financing needs in detail. Investors will not fill gaps that management has not understood itself.

6.5 Regulatory uncertainty, policy reversals, and contract enforcement risk

Investment requires confidence that rules will remain predictable enough for a business or project to operate over time. In African markets, regulatory uncertainty is one of the most frequently cited barriers to capital deployment. Investors can often manage difficult conditions if those conditions are stable and transparent. They struggle when policies shift without notice, permits are delayed unpredictably, taxes are changed retroactively, or contracts cannot be enforced reliably.

This problem affects almost every sector. Energy investors need confidence in tariff regimes, licensing rules, grid access, and power-purchase agreements. Telecom and data-centre investors need clarity on spectrum, data regulation, taxation, and infrastructure permits. Manufacturers need predictable import rules, local-content requirements, customs procedures, and standards. Financial-service providers need stable licensing, consumer-protection, data, and foreign-exchange rules.

Policy reversals are especially damaging because they change the assumptions on which investment decisions were made. A project can become unviable if a tax exemption is withdrawn, a tariff is frozen, a licence is challenged, or a contract is reopened. Even if the government has legitimate reasons for policy change, the way change is managed matters. Transparent consultation, transition periods, clear legal authority, and respect for existing contracts can reduce uncertainty. Sudden and discretionary changes increase the cost of capital.

Contract enforcement is closely related. Investors need confidence that disputes will be resolved fairly and within a reasonable timeframe. Weak commercial courts, slow arbitration processes, political interference, and unclear legal systems can discourage long-term commitments. Businesses may demand higher returns, shorter investment horizons, or offshore legal structures to compensate.

Improving regulatory quality is not only a matter of attracting foreign investors. It also benefits domestic businesses. Local firms are often more exposed to policy uncertainty because they cannot easily restructure operations across borders or secure international arbitration. A predictable regulatory environment can therefore strengthen domestic enterprise, encourage reinvestment, and deepen local capital markets.

6.6 Energy, logistics, and infrastructure constraints as investment deterrents

Infrastructure constraints remain one of the clearest reasons why capital does not flow more deeply into productive African businesses. Reliable electricity, efficient transport, water systems, digital connectivity, and industrial land are not background conditions. They are core inputs into profitability, competitiveness, and investment decisions.

Energy is often the most immediate constraint. Businesses facing unreliable power must invest in generators, fuel, storage, maintenance, and backup systems. These costs reduce margins and make investment in manufacturing, processing, cold storage, health care, digital services, and hospitality more difficult. The burden is particularly severe for small and medium-sized firms, which often cannot afford industrial-scale backup solutions.

Logistics constraints create similar problems.

Poor roads, congested ports, inefficient border processes, limited warehousing, and weak rail systems increase transport time and cost. Businesses must hold more inventory to protect against delays, tying up working capital. Exporters face uncertainty about delivery times. Importers face higher costs for inputs and equipment. Perishable-goods producers face spoilage and quality losses.

Digital infrastructure is improving, but it remains uneven. Businesses in major urban centres may have access to reliable broadband and cloud services, while firms in secondary cities or rural areas face weaker connectivity. This limits the adoption of digital tools that could improve productivity, access to markets, and financial management.

Infrastructure constraints do more than raise operational costs. They alter the types of investments that are possible. Investors may choose projects that can control their own energy supply, operate near ports, or serve affluent urban customers, while avoiding sectors and regions where infrastructure risk is harder to manage. This can deepen inequality between capital-rich hubs and underinvested areas.

The investment implication is clear. Infrastructure is not only a public-policy issue. It is a determinant of capital allocation. Countries that improve power reliability, trade corridors, industrial land, and connectivity can reduce the risk premium applied to their businesses and projects.

6.7 Fragmented markets, trade barriers, and scalability limits

Africa's population is large, but many individual national markets are relatively small. This creates a scaling problem for businesses and investors. A manufacturing plant, data centre, logistics platform, pharmaceutical company, or technology business may require a market larger than one country can provide. Regional integration is therefore essential to Africa's investment case.

The African Continental Free Trade Area offers a framework for larger markets, but implementation remains uneven. Tariffs are only one part of the challenge. Non-tariff barriers, inconsistent standards, differing regulations, border delays, payment restrictions, transport bottlenecks, and political uncertainty continue to limit trade across African markets.

These barriers affect investment decisions directly. An investor considering a factory may ask whether the plant can serve several countries or only one. A technology firm may ask whether licensing and data rules allow regional expansion. A logistics provider may assess whether borders can be crossed predictably. A financial institution may ask whether payments can move efficiently across currencies and regulatory systems.

Fragmentation also increases costs. Firms must maintain multiple compliance systems, adapt products to different standards, manage several currencies, and navigate different tax regimes. This reduces economies of scale and makes African operations more complex than comparable operations in more integrated regions.

The inability to scale across markets is one reason why many African businesses remain small. They may succeed nationally but struggle to expand regionally. Investors then face limited exit opportunities, narrow revenue bases, and higher operating costs. This can discourage larger capital commitments.

The solution is not simply to sign trade agreements. It is to make integration operational. This requires harmonised standards, improved border systems, interoperable payments, transport corridors, dispute-resolution mechanisms, and regulatory coordination. For businesses, it requires designing regional strategies that account for local differences while building common operating platforms where possible.

6.8 Governance, transparency, and the credibility premium

Governance and transparency affect the cost of capital more directly than many governments and businesses acknowledge. Investors do not only assess market potential. They assess whether financial statements are reliable, whether procurement is transparent, whether related-party transactions are disclosed, whether tax obligations are clear, and whether management can be trusted to report problems early rather than after they become crises.

At national level, governance affects the credibility of policy, public contracts, state-

owned enterprises, and regulatory agencies. Investors are more likely to commit long-term capital where institutions provide clear information, apply rules consistently, and resolve disputes predictably. Weak governance increases due-diligence costs, delays transactions, and raises the returns investors require.

For companies, governance is a competitive advantage. Businesses that maintain credible accounts, board oversight, internal controls, compliance systems, and transparent ownership structures are more likely to access institutional capital. They can attract a broader range of investors and negotiate better terms. Businesses with weak governance may still obtain capital, but it is often more expensive, shorter-term, or dependent on personal relationships.

Transparency is particularly important in sectors involving public assets or consumer trust. Energy, mining, telecommunications, infrastructure, finance, health care, and digital platforms all face heightened scrutiny because their activities affect public revenue, essential services, data, or strategic resources. Companies operating in these sectors must meet higher standards if they want to access long-term capital.

The credibility premium also applies to countries. Markets that improve fiscal transparency, debt reporting, foreign-exchange communication, procurement practices, and regulatory predictability can reduce perceived risk. This does not eliminate real economic challenges, but it makes those challenges easier for investors to evaluate and price.

6.9 Why capital can enter Africa without creating proportionate productive capacity

The final barrier is the gap between capital inflow and productive transformation. Money can enter an economy without creating the level of jobs, industrial capacity, technology transfer, or enterprise development that policymakers expect.

This happens for several reasons. Capital may be concentrated in extractive sectors with limited local linkages. It may finance imports of equipment and services without building domestic supply chains. It may be directed toward real estate or financial transactions that create asset value but limited productive capacity. It may be absorbed by debt refinancing rather than new investment. It may be captured by a narrow group of large firms while smaller enterprises remain excluded.

The risk is especially high when countries compete for capital by offering incentives without requiring clear development outcomes. Tax holidays, land concessions, and regulatory exemptions can be useful tools, but they must be linked to realistic expectations around employment, local procurement, training, technology transfer, environmental performance, and reinvestment. Otherwise, governments may give up public value without securing long-term economic benefits.

Productive investment requires linkages. A mining project should create opportunities for local suppliers, engineers, transport firms, and processing facilities. A data centre should stimulate connectivity, cloud adoption, skills development, and enterprise services. An energy project should lower costs for businesses and households. A manufacturing investment should support local inputs, export capacity, and workforce development.

These outcomes depend on policy design, corporate strategy, institutional capacity, and market conditions. Capital alone does not create them. The next chapter focuses on the financial mechanics that determine whether investment can be converted into resilient enterprises and productive assets.

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Financials, Capital Efficiency, and Enterprise Resilience

7

7.1 The cost of capital in African markets

The cost of capital is one of the most important but least understood forces shaping African business performance. It influences which projects are built, which firms survive, which sectors attract investment, and how quickly enterprises can scale. In many African markets, the core challenge is not the total absence of capital. It is that available capital is often too expensive, too short-term, too rigid, or too poorly matched to the cash cycles of productive businesses.

For companies, the cost of capital includes more than the interest rate on a loan. It includes equity dilution, arrangement fees, collateral requirements, foreign-exchange hedging costs, guarantee costs, legal fees, insurance, compliance costs, and the working-capital burden created by delayed customer payments. A business may secure a loan at a nominal rate that appears manageable, but if the loan requires heavy collateral, monthly repayment, foreign-currency servicing, or restrictive covenants, its effective cost may be far higher than expected.

The cost of equity is also significant. Equity does not require regular repayment in the same way debt does, but it comes with expectations of growth, governance rights, eventual exit, and returns that reflect the risk assumed. In a market where exits are limited, investors may demand larger ownership stakes or aggressive growth targets. This can create tension between the long-term needs of the business and the short-term expectations of capital providers.

High capital costs distort business strategy. Firms may avoid investment in machinery, research, power solutions, warehouse capacity, or technology because the expected return does not exceed financing costs. They may choose trading activities with faster turnover over manufacturing or processing activities with longer payback periods. They may underinvest in maintenance, training, and systems because cash is needed to service debt or manage short-term liquidity.

The cost of capital is also a competitiveness issue. A manufacturer in Africa paying high rates for working capital, expensive energy for production, and elevated logistics costs cannot easily compete with a producer in a market with lower financing costs and more reliable infrastructure. This is why lowering the cost of capital requires more than monetary policy. It requires improvements in macroeconomic stability, domestic savings mobilisation, credit information, legal enforcement, competition in financial services, and the availability of long-term local-currency instruments.

7.2 Capital structure, leverage, and refinancing risk

Capital structure determines how a business funds its operations and growth. It is the mix of equity, retained earnings, debt, trade credit, leasing, supplier finance, and other instruments that sit on a company's balance sheet. In African markets, capital structure is often shaped less by strategic choice than by what is available. This can create vulnerability.

Many firms rely heavily on short-term bank borrowing because long-term debt markets are shallow. Others depend on retained earnings because external equity is scarce. Some use supplier credit or customer advances to finance operations. Larger companies may access foreign-currency loans, bond markets, development-finance facilities, or private equity. Each approach has benefits and risks.

Leverage can accelerate growth when debt is used to finance assets that generate returns above borrowing costs. A logistics company may finance a fleet that produces contracted revenue. A manufacturer may finance equipment that lowers unit costs. A renewable-energy project may use long-term debt against predictable cash flows. In these cases, debt can enhance returns on equity and support expansion.

But leverage becomes dangerous when it is used to finance volatile working capital, speculative expansion, or projects with uncertain revenue. It is especially dangerous when debt is short-term and assets are long-term. A company may borrow for two years to build an asset that takes five years to reach stable cash flow. It may then face refinancing risk before the project has matured.

Refinancing risk is a major concern in African markets because credit conditions can change quickly. Interest rates may rise, banks may become more cautious, foreign investors may withdraw, and local-currency liquidity may tighten. A business that depends on continuous refinancing can be exposed even if it is profitable on paper. When lenders reduce exposure, companies may be forced to sell assets,

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delay supplier payments, reduce staff, or abandon expansion plans.

For investors and boards, capital structure must therefore be evaluated as a resilience issue. The key question is not simply how much debt a company has. It is whether the maturity, currency, repayment schedule, and covenants of that debt align with the asset base and cash-flow profile of the business.

7.3 Liquidity stress, working capital, and cash conversion cycles

Liquidity is the ability of a business to meet its near-term obligations. It is often more important to survival than profitability. A company can report a profit and still fail if it cannot pay salaries, suppliers, taxes, rent, debt service, or utility bills when they fall due.

Working capital is at the centre of this challenge. It represents the cash tied up in inventory, receivables, and short-term operating needs. In many African markets, businesses face long cash conversion cycles because they must pay suppliers quickly, hold larger inventories due to unreliable logistics, and wait long periods for customers to pay. Public-sector customers, large corporates, distributors, and retailers may delay payments, while smaller suppliers lack the bargaining power to demand better terms.

This creates a financing gap. Businesses need cash to keep operating while they wait for revenue to be collected. If bank facilities are expensive or unavailable, companies may reduce inventory, delay supplier payments, or turn away new orders. Growth then becomes a source of stress rather than strength. A larger order book can require more working capital, more staff, and more inventory before payment arrives.

The cash conversion cycle is therefore a critical measure of enterprise quality. It can be expressed as the number of days between paying for inputs and collecting cash from customers. Firms that reduce this cycle improve liquidity and reduce dependence on external finance. They may negotiate longer supplier terms, shorten customer-payment periods, improve inventory management, digitise billing, use receivables finance, or redesign contracts to require deposits or milestone payments.

For investors, assessing cash conversion is

essential. Revenue growth is not enough. A company may grow quickly while consuming cash at an unsustainable rate. Conversely, a business with moderate growth but strong collection discipline and efficient inventory management may be more resilient and more attractive for long-term investment.

In sectors such as manufacturing, construction, logistics, health care, agriculture, and retail, working-capital management is often the dividing line between durable businesses and distressed ones. Capital providers that understand this can structure finance more effectively. Rather than offering only term loans, they can provide inventory finance, receivables facilities, supply-chain finance, leasing, and other instruments that match operational needs.

7.4 Foreign currency debt and balance-sheet fragility

Foreign-currency borrowing is one of the most persistent financial risks facing African businesses. It can offer lower interest rates, longer tenors, and access to capital that local markets cannot provide. But it also introduces a mismatch when the company's revenues are mainly in local currency.

A business that earns in naira, shillings, cedis, kwacha, rand, or another local currency but borrows in dollars faces a hidden leverage risk. If the local currency depreciates, the amount of local currency required to service the debt rises. This can happen even if the company's sales volume and operating performance remain stable. The debt burden increases while domestic purchasing power may weaken, making it harder to raise prices.

Foreign-currency debt is most appropriate when revenues are also linked to foreign currency. Exporters, mining companies, shipping firms, hotels serving international visitors, or businesses with dollar-denominated contracts may be able to manage this exposure. Even then, they need to consider timing differences between revenue receipts and debt obligations.

For domestically focused businesses, foreign-currency borrowing can be dangerous unless it is hedged or supported by clear foreign-exchange protection. In practice, hedging may be expensive, unavailable, or limited to short periods. Companies may assume that currencies will remain stable or that they can pass costs to customers. These assumptions often fail during periods of macroeconomic stress.

Balance-sheet fragility emerges when foreign-currency debt interacts with other weaknesses: short maturities, thin margins, delayed payments, high input costs, and weak liquidity buffers. A currency shock can then trigger a chain reaction. Debt service rises. Cash flows tighten. Suppliers demand faster payment. Banks become cautious. Investment is postponed. The company may become distressed even if its core product remains valuable.

This is why capital discipline requires currency matching. Businesses should finance local-currency assets and revenues primarily with local-currency capital where possible. Governments and development institutions can support this by expanding local-currency lending, guarantee facilities, and hedging mechanisms. Investors should avoid treating foreign-currency debt as a simple solution to local capital-market gaps.

7.5 Return on invested capital versus headline growth

Headline growth can be misleading. A company may increase revenue, users, branches, market share, or geographic presence while destroying value. The more meaningful question is whether the returns generated by an investment exceed the cost of the capital used to fund it.

Return on invested capital measures how effectively a business turns the money invested in it into operating profit. It is not the only useful metric, but it is particularly important in African markets where capital is scarce and expensive. A company that earns strong returns on capital can reinvest, attract investors, and withstand shocks. A company that grows but earns low returns will eventually face pressure from lenders, shareholders, and competitors.

In capital-intensive sectors, this distinction is critical. A power plant, data centre, factory, logistics network, port, or mining operation may require years of investment before generating stable returns. Investors need to understand whether expected cash flows justify the capital committed and the risks assumed. Overbuilding, poor utilisation, delays, cost

overruns, or weak pricing can quickly undermine returns.

In asset-light sectors, the same principle applies differently. A financial-technology company may not need large physical assets, but it still requires investment in software, compliance, customer acquisition, risk systems, and working capital. If its unit economics are weak, growth can increase losses. A platform that acquires customers at high cost but earns little recurring revenue is not creating value, regardless of headline user numbers.

For African businesses, the discipline of return on invested capital is especially valuable because it forces managers to confront trade-offs. Should the company expand into a new market or strengthen margins in its existing one? Should it buy equipment or lease it? Should it use debt or equity? Should it build a new facility or improve utilisation of current assets? These decisions determine whether growth becomes value creation.

Investors should ask not only whether a market is growing, but whether the company has a repeatable model for turning capital into returns. Policymakers should also consider this question when designing incentives. Subsidies, guarantees, and tax breaks should support projects capable of generating durable productive value, not simply larger balance sheets.

7.6 The difference between capital raised and capital deployed

A business can announce a large funding round and still have little effect on the real economy. Capital raised is not the same as capital deployed, and capital deployed is not the same as productive capital.

Capital raised refers to money committed by investors or lenders. It may sit in bank accounts, be reserved for future expenditure, be used to repay earlier investors, fund acquisitions, or cover operating losses. Capital deployed refers to money actually used in the business. It may finance equipment, inventory, staff, technology, new facilities, marketing, acquisitions, or working capital.

Productive capital goes further. It is capital deployed in ways that increase the long-term capacity of the business or economy to generate value. A factory that improves efficiency, a renewable-energy system that lowers operating costs, a logistics platform that reduces waste, or a digital tool that improves collection and inventory management can all represent productive capital.

The distinction matters because African markets are often judged by fundraising announcements. Venture rounds, infrastructure commitments, and large loan agreements can generate publicity. But the real questions are whether the capital reaches the intended project, whether the project is completed, whether it operates effectively, and whether it produces cash flows and local economic benefits.

In infrastructure, the gap can be particularly large. Announced projects may face years of delay due to permits, land issues, procurement disputes, foreign-exchange shortages, or incomplete financing. In corporate finance, companies may raise capital but use much of it to manage liquidity problems rather than invest in growth. In venture capital, firms may spend heavily on customer incentives or overhead without building sustainable operating systems.

For investors and regulators, tracking deployment is essential. It requires attention to milestones, procurement, construction progress, operating metrics, employment, revenue, capacity utilisation, and financial performance. For businesses, transparent reporting on how capital is used can build credibility and support future fundraising.

7.7 Capital efficiency in infrastructure, industrial projects, and digital platforms

Capital efficiency varies widely across sectors. It is influenced by asset life, utilisation rates, revenue certainty, operating costs, financing structure, and the quality of management. Understanding these differences is necessary for making sound investment decisions.

Infrastructure projects can be capital efficient when they serve clear demand, have reliable contracts, and are maintained properly. A power plant with a creditworthy offtaker, a port with steady throughput, or a toll road with predictable traffic can generate long-term returns. But infrastructure can also become a capital trap if demand is overestimated, costs escalate, tariffs are politically constrained, or

maintenance is neglected.

Industrial projects require close attention to utilisation and supply chains. A factory may be technically advanced but financially weak if it operates below capacity, faces high energy costs, cannot obtain inputs reliably, or has limited market access. The most efficient industrial investments are often those integrated into supply chains, clusters, and regional markets. A plant that produces for a broad network of customers, sources inputs efficiently, and benefits from shared infrastructure is more likely to achieve sustainable returns.

Digital platforms can be highly capital efficient if they create strong network effects, recurring revenue, and low marginal costs. But many digital businesses face hidden capital intensity. They may need to spend heavily on customer acquisition, compliance, cybersecurity, data infrastructure, payment processing, and support. Their capital efficiency depends on whether these investments lead to durable customer relationships and improving unit economics.

Data centres illustrate the overlap between digital and physical capital efficiency. They require large upfront investment in land, buildings, power, cooling, connectivity, and equipment. Their returns depend on utilisation, energy costs, contracted customers, and the ability to expand capacity in line with demand. A data centre can become a strategic asset if it achieves scale and reliability. It can become underutilised capital if demand or power supply falls short.

The key lesson is that capital efficiency is not determined by sector alone. It is determined by fit. The investment must fit the market, the operating environment, the financing structure, and the capability of the organisation managing it.

7.8 Resilience under macroeconomic volatility

African businesses operate in environments where volatility is not an exceptional event. Currency shifts, inflation, policy changes, fuel price adjustments, interest-rate movements, commodity cycles, supply disruptions, and political uncertainty can all affect operations. Enterprise resilience is therefore a central financial consideration.

Resilience does not mean avoiding all risk. It means building the capacity to absorb shocks without destroying long-term value. Financial resilience begins with liquidity. Companies need enough cash, available credit, and working-capital flexibility to manage temporary disruption. It also requires realistic debt levels, diversified revenue sources, careful currency management, and clear visibility over costs.

Operational resilience is equally important. Businesses need alternative suppliers, reliable energy solutions, inventory strategies, digital systems, and contingency plans. A company that relies on one imported input, one customer, one source of foreign exchange, or one regulatory approval is highly exposed. Diversification can be costly, but it often becomes essential during shocks.

Governance supports resilience by ensuring that management recognises problems early. Businesses with strong reporting, active boards, risk committees, and transparent communication are more likely to respond before difficulties become crises. Investors value this because resilience reduces the likelihood of sudden losses, emergency refinancing, or destructive restructuring.

For African enterprises, resilience is becoming a source of competitive advantage. Investors increasingly prefer companies that can demonstrate how they manage currency, energy, logistics, liquidity, compliance, and customer concentration. In a volatile environment, stability is valuable.

7.9 What quality capital looks like for African businesses

Quality capital is not defined by its size alone. It is capital that fits the strategic and financial needs of the business receiving it.

For a manufacturer, quality capital may be a local-currency equipment loan with a maturity aligned to the life of the machinery, combined with working-capital finance for inventory and receivables. For a renewable-energy developer, it may be long-term project finance supported by credible offtake contracts, risk guarantees, and a realistic currency structure. For a technology company, it may be patient equity from investors who understand the time required to build compliant, revenue-generating systems. For an exporter, it may include trade finance,

foreign-currency facilities matched to export receipts, and insurance against buyer default.

Quality capital should have five features.

First, it should be appropriately matched. Currency, tenor, repayment profile, and covenants should align with the revenue and asset profile of the business.

Second, it should be productive. It should build capability, improve efficiency, strengthen supply chains, or support sustainable market expansion.

Third, it should be resilient. The company should be able to service it under plausible stress scenarios, including currency depreciation, slower sales, delayed customer payments, or higher input costs.

Fourth, it should be transparent. Investors and businesses should understand the true cost, risks, and obligations of the financing.

Fifth, it should support long-term value creation. Capital should enable the enterprise to become more competitive, not merely larger or more dependent on repeated fundraising.

Africa's investment future will depend on how well businesses, investors, governments, and development institutions learn to distinguish between capital that creates headlines and capital that creates durable economic capacity.

8

Strategic Recommendations and Best Practices

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8.1 What African businesses must do differently

African businesses should treat capital raising as the final stage of preparation, not the beginning of strategy. Too many enterprises approach investors with a compelling market story but limited evidence that they understand the financial mechanics of growth. In the current investment environment, that is no longer enough.

The first priority is financial readiness. Businesses must be able to explain how revenue is generated, how quickly customers pay, how inventory is financed, where foreign-exchange exposure sits, and what happens to margins if inflation, energy prices, or exchange rates move against them. This requires stronger management accounts, cash-flow forecasting, scenario planning, and board-level financial oversight. A business that cannot explain its working-capital needs clearly will struggle to secure patient, well-priced capital.

The second priority is matching finance to the actual use of funds. Short-term bank facilities should not be used to finance long-lived assets. Foreign-currency loans should not be used casually to finance local-currency revenues. Equity should not be raised to cover recurring operating losses without a credible route to sustainable margins. Businesses must separate financing needs for inventory, equipment, expansion, product development, acquisitions, and resilience. Each requirement calls for a different instrument.

The third priority is governance. Institutional investors, development finance institutions, banks, private-equity funds, and strategic corporate investors increasingly expect audited financials, clear ownership structures, tax compliance, board oversight, internal controls, and credible reporting. Governance should not be treated as a compliance burden imposed by external capital. It is a business advantage that improves decision-making, lowers risk, and widens the pool of potential investors.

The fourth priority is operating resilience. Firms should strengthen relationships with multiple suppliers, avoid excessive customer concentration, develop realistic foreign-exchange plans, and invest in energy and logistics solutions where these risks materially affect operations. Resilience has become part of the investment proposition. A business that can continue operating through currency stress, supply disruption, power shortages, or delayed payments is more valuable than one that grows quickly in good conditions but becomes unstable during shocks.

The fifth priority is to build evidence of productive use of capital. Investors increasingly want to see what previous financing achieved. Did it improve capacity, reduce costs, increase utilisation, strengthen collections, improve product quality, or create recurring revenues? Businesses should track these outcomes and communicate them clearly. Capital that produces evidence of capability attracts more capital than capital that produces only a larger story.

8.2 What investors and lenders should underwrite

Investors and lenders should shift attention from capital raised to capital efficiency. The strongest opportunities in Africa are not necessarily the companies or projects with the biggest fundraising narratives. They are the ones that can show durable demand, clear unit economics, disciplined management, credible risk controls, and a realistic path to positive operating cash flow.

The first underwriting priority should be cash-flow quality. Investors should assess whether revenues are recurring, contracted, diversified, inflation-linked, export-based, or otherwise resilient. They should understand payment cycles, customer concentration, collection risk, and the amount of working capital needed to sustain growth. A business with modest revenue but strong cash conversion may be more investable than a larger business with persistent liquidity stress.

The second priority should be currency alignment. Lenders should avoid creating avoidable foreign-exchange risk by providing hard-currency loans to domestically focused companies without appropriate hedging or revenue protection. Where foreign-currency financing is unavoidable, debt service should be linked to export earnings, hard-currency contracts, or risk-mitigation instruments. Local-currency lending, leasing, receivables finance, and risk-sharing structures should be expanded for businesses serving domestic markets.

The third priority should be productive

capacity. Capital should favour projects that lower structural costs, create long-lived assets, improve supply chains, support local processing, increase export capability, or provide essential services. This does not mean every investment must be capital intensive. It means investors should ask whether an investment increases the ability of the enterprise or economy to produce value over time.

The fourth priority should be governance and management quality. African markets contain strong opportunities, but weak governance can destroy value in any geography. Investors should assess the quality of financial reporting, board oversight, controls, related-party transactions, compliance systems, and management capability. Strong governance is not a guarantee of success, but it improves the ability of a company to identify problems early and manage volatility.

The fifth priority should be local partnerships and local knowledge. Broad continental risk models can overlook differences between countries, sectors, and firms. Investors who work with credible local partners, understand regulatory conditions, and build country-level insight can often identify opportunities that are invisible to investors relying only on high-level macro analysis.

8.3 What policymakers and regulators must fix

The most important responsibility of policymakers is to reduce the gap between investment interest and investment execution. Africa does not suffer only from lack of capital. It also suffers from a shortage of projects, rules, institutions, and financing mechanisms that allow capital to move efficiently into productive activity.

First, governments should improve project preparation. Investment promotion agencies, ministries, state-owned enterprises, and local authorities need the technical capacity to prepare credible projects before marketing them to investors. This includes feasibility studies, land and permit clarity, environmental and social assessments, financial models, demand analysis, contractual structures, and transparent procurement processes. A country with fewer but better-prepared projects will attract more serious long-term capital than one that announces a large number of unprepared opportunities.

Second, policymakers must strengthen regulatory predictability. Investors can work with difficult tax regimes, challenging infrastructure, or macroeconomic volatility if rules are clear and consistently applied. They struggle when tariff structures change without consultation, licences are delayed or withdrawn unpredictably, contracts are reopened, or foreign-exchange rules are unclear. Governments should publish rules, consult affected sectors, provide transition periods, and honour contractual commitments.

Third, policymakers should focus on investability, not only promotion. Investment conferences, memoranda of understanding, and public announcements can raise visibility, but the real test is whether projects reach financial close and begin operating. Governments should track the full investment pipeline, including announcements, approvals, financial close, construction, commissioning, and operating performance. This would improve accountability and reduce the gap between headline investment claims and real economic outcomes.

Fourth, regulators should enable local-currency financing. Domestic businesses require capital that fits local revenue streams. This means deeper bond markets, stronger credit-guarantee systems, better credit information, more flexible leasing rules, improved insolvency frameworks, and investment vehicles that allow pension funds, insurers, and asset managers to finance productive sectors responsibly.

Fifth, governments should align incentives with local economic value. Investment incentives should be designed around outcomes such as local supplier development, training, technology transfer, energy reliability, export growth, and productive reinvestment. Incentives that simply reduce tax obligations without clear performance requirements can weaken public finances without building domestic capacity.

8.4 What development finance institutions and ecosystem partners should prioritise

Development finance institutions, multilateral banks, philanthropic capital providers, and technical partners have a critical role in helping Africa bridge the gap between commercial risk

and development need. Their value lies not in replacing private capital but in making viable projects investable.

The first priority is risk mitigation. Guarantees, political-risk insurance, first-loss capital, local-currency facilities, and credit enhancements can reduce the risks that discourage private investors. Reuters reported in July 2026 that African development banks were increasingly using guarantee structures to improve project credit ratings, extend financing maturities, and attract institutional investors, including pension and insurance funds. These tools can be especially important for infrastructure, renewable energy, housing, trade finance, and small and medium-sized enterprise lending.

The second priority is project preparation. Many potentially valuable projects fail to attract finance because the early technical, legal, and financial work has not been completed. Development institutions can fund feasibility studies, environmental assessments, financial modelling, legal advice, and transaction design. This may appear less visible than financing a completed asset, but it is often where the investment bottleneck begins.

The third priority is local-currency finance. Development institutions should expand facilities that enable banks and non-bank lenders to provide longer-term local-currency loans. They should support hedging mechanisms and guarantee structures that reduce foreign-exchange risk. Without these tools, domestic businesses will remain exposed to currency mismatches or unable to access capital at all.

The fourth priority is mobilisation rather than substitution. Concessional capital should be used to crowd in commercial and domestic investors, not to displace them. The African Development Bank's 2026 development-effectiveness review reported private capital mobilisation of $4.331 billion in 2024, including direct mobilisation through guarantees, syndications, and mandate letters. This illustrates how public institutions can use limited balance-sheet capacity to attract larger pools of capital.

The fifth priority is capability development. Businesses, regulators, municipal authorities, project sponsors, and financial institutions all need stronger skills in financial structuring, risk management, procurement, environmental and social standards, and project execution. Capital mobilised into weak systems can still fail. Long-term investment requires institutions capable of managing it.

8.5 How domestic institutional capital can be mobilised

Domestic institutional capital is one of Africa's most underused investment resources. Pension funds, insurers, collective-investment schemes, sovereign funds, banks, and asset managers hold substantial pools of savings. According to FSD Africa's 2026 institutional-capital market analysis, African pension funds and other collective investment schemes hold more than $600 billion. Yet much of this capital remains concentrated in government securities rather than productive sectors such as infrastructure, housing, private credit, and small and medium-sized enterprises.

This concentration is understandable. Pension and insurance funds have fiduciary duties. They need liquid, secure, and appropriately rated investments. They cannot simply be instructed to finance risky projects because governments want more domestic capital. The challenge is not a lack of willingness alone. It is a shortage of investable instruments that meet institutional requirements.

Mobilising domestic capital therefore requires better market architecture. Governments and financial institutions need to create vehicles that provide transparent governance, professional management, predictable cash flows, suitable liquidity, and credible risk mitigation. Infrastructure bonds, credit-enhanced project bonds, pooled funds, listed infrastructure vehicles, private-credit funds, and co-investment platforms can help bridge the gap between long-term savings and productive investment.

The Africa Finance Corporation's 2026 infrastructure report makes the broader point clearly: Africa is not simply capital-scarce. The continent's capital pools exceed $4 trillion, including more than $1 trillion in pension and life-insurance assets. The problem is that much of this capital cannot be deployed safely into long-term productive investments because projects lack bankable structures, risk-sharing tools, and independent cash flows.

Domestic capital also has an important currency advantage. Pension funds and insurers collect contributions and premiums in local currency

and have long-term local-currency liabilities. They are therefore natural potential providers of local-currency finance for infrastructure, housing, and corporate expansion. If properly structured, domestic institutional investment can reduce reliance on foreign debt and lower currency mismatch across the economy.

However, regulatory reform must be gradual and credible. Expanding allocation limits without improving governance, project quality, and investor protections could expose pension savers to avoidable losses. The priority should be to create a pipeline of high-quality opportunities, strengthen trustee and fund-manager capability, and use guarantees or first-loss protection where appropriate.

8.6 Building investable pipelines rather than chasing isolated deals

African countries should move from a deal-by-deal approach to investment promotion toward a pipeline approach. An isolated project may attract capital, but a pipeline of credible projects can build investor confidence, reduce transaction costs, and create a durable market.

A pipeline approach begins with sector strategy. Governments need to identify where their comparative advantages and economic needs overlap. This may include renewable energy, industrial zones, logistics corridors, agricultural processing, mining value chains, housing, digital infrastructure, health care, or export-oriented manufacturing. The objective is not to pursue every sector at once. It is to concentrate resources where projects can build on one another.

The next step is project sequencing. A logistics corridor may need power, border reform, warehousing, and industrial demand before it can achieve full value. A renewable-energy programme may require grid upgrades, tariff reform, offtaker support, and local supplier capacity. A data-centre cluster may need fibre connectivity, reliable power, cybersecurity rules, and anchor customers. Sequencing helps ensure that investments are complementary rather than isolated.

Project preparation should then be standardised. Governments can create project-development facilities, model contracts, transparent procurement systems, and data rooms that reduce the time and uncertainty involved in due diligence. This makes it easier for investors to compare opportunities and deploy capital.

A pipeline approach also supports domestic capital mobilisation. Pension funds and insurers are unlikely to invest in a single opaque project, but they may invest through diversified funds or standardised instruments linked to a portfolio of well-prepared assets. Scale and repeatability can reduce risk and improve liquidity.

For businesses, building an investable pipeline means developing more than one funding conversation. Companies should identify the sequence of capital they need as they grow, including founder capital, customer deposits, working-capital facilities, equipment finance, growth equity, and long-term debt. They should prepare for future capital needs before they become urgent.

8.7 Sequencing priorities for the next investment cycle

Africa's next investment cycle should be sequenced around the conditions that allow productive capital to compound.

The first priority is macroeconomic and regulatory credibility. Stable fiscal policy, transparent foreign-exchange management, predictable regulation, contract enforcement, and clear investment rules are foundational. Without these conditions, even strong sector opportunities will carry excessive risk premiums.

The second priority is essential infrastructure. Energy, transport, logistics, water, digital connectivity, and industrial land determine whether businesses can operate competitively. Investment in these areas has multiplier effects because it lowers costs across the economy.

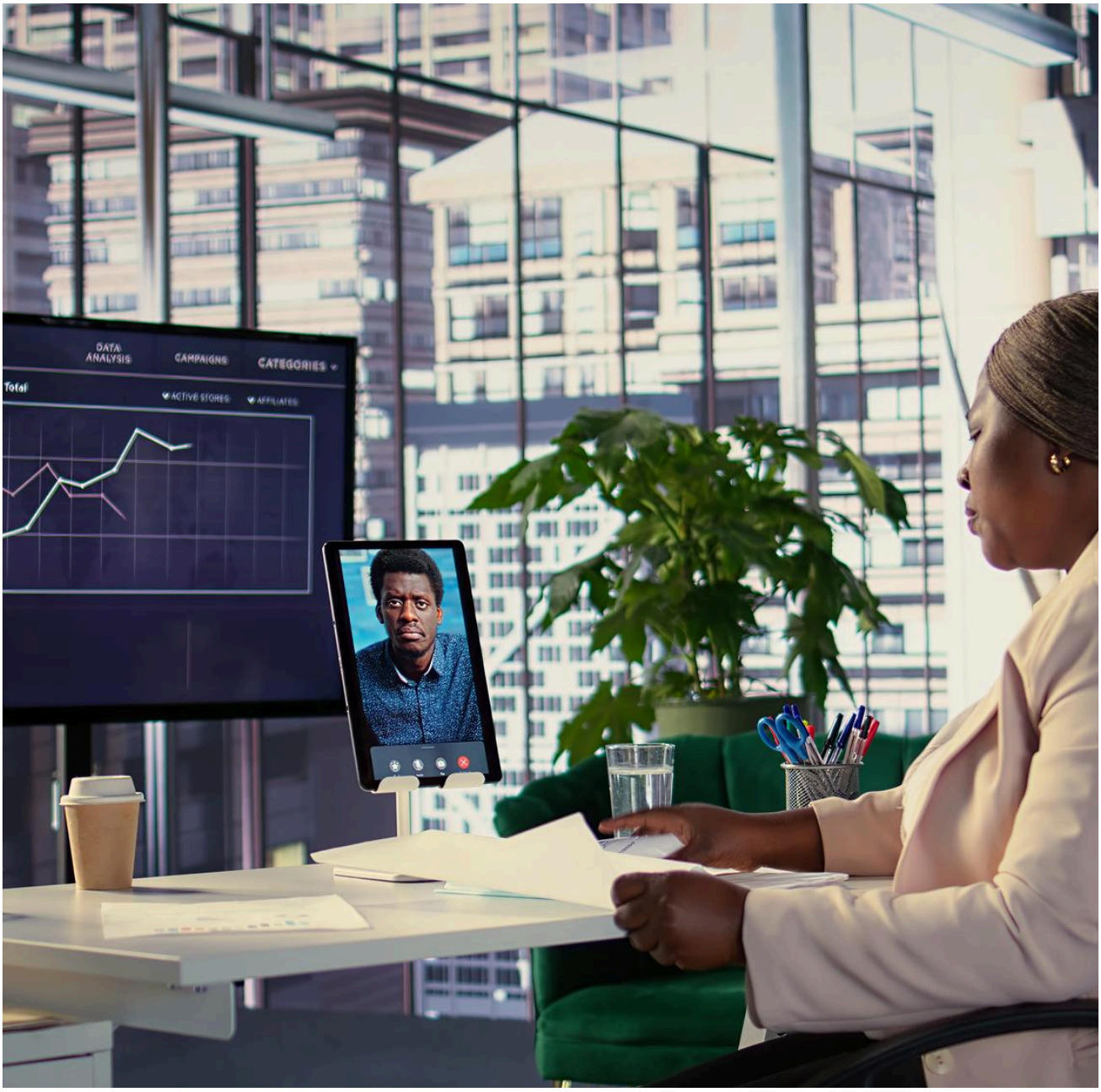
The third priority is project preparation and risk mitigation. Governments and development institutions should focus on turning opportunities into bankable assets. This requires technical capacity, guarantees, local-currency tools, legal clarity, and better transaction design.

The fourth priority is domestic capital mobilisation. Pension funds, insurers, banks, sovereign funds, and local asset managers should be given credible opportunities to invest in productive sectors through transparent and

well-governed vehicles. This will reduce dependence on volatile foreign capital and create more appropriate sources of long-term local-currency finance.

The fifth priority is enterprise capability. Businesses need the management, governance, technology, and financial discipline required to absorb capital productively. Financing without enterprise capability will not create durable growth.

The sequence matters because capital cannot compensate indefinitely for weak fundamentals. The strongest investment outcomes will come from systems in which credible policy, capable institutions, reliable infrastructure, well-structured projects, domestic savings, and resilient enterprises reinforce one another.



9

Industry Case Studies

9.1 Egypt's mega project effect and the danger of headline distortion

Egypt's Ras El Hekma transaction is one of the clearest recent examples of how a single large deal can transform a country's investment statistics while complicating the interpretation of its wider investment environment.

In February 2024, Abu Dhabi Developmental Holding, known as ADQ, agreed to invest $35 billion in the development of Ras El Hekma on Egypt's Mediterranean coast. The project covered a vast coastal area and was planned as a new urban, tourism, residential, commercial, and services development. The agreement included direct investment and the conversion of UAE deposits held at Egypt's central bank into investment in infrastructure and real estate projects.

According to the United States Department of State's 2025 Investment Climate Statement for Egypt, the transaction was the primary reason Egypt's FDI inflows rose to a record $46.1 billion during the 2023–2024 fiscal year. UN Trade and Development similarly noted that the Ras El Hekma deal materially shaped the continent's 2024 FDI figures. This was not an accounting anomaly. It was a real and consequential transaction. It delivered foreign currency at a time when Egypt faced significant balance-sheet and foreign-exchange pressure.

However, the deal also illustrates the danger of interpreting aggregate FDI figures without looking beneath them. In 2025, Egypt still attracted approximately $15.5 billion in FDI and remained Africa's largest FDI destination. Yet the drop from the exceptional 2024 level was dramatic because the Ras El Hekma investment was a one-off transaction of extraordinary scale. The decline did not necessarily indicate a sudden collapse in investor interest. It represented a normalisation from an exceptional base.

The lesson is that large inflows and broad-based investment are different things. A single megaproject can improve liquidity, support macroeconomic stabilisation, and attract international attention. But it does not automatically resolve the financing constraints facing manufacturers, exporters, small businesses, logistics providers, and technology firms. It does not automatically create a diversified pipeline of productive projects.

For policymakers, the case shows the importance of separating macroeconomic relief from structural transformation. Large investment deals can be valuable, especially during periods of foreign-exchange stress. But they should be complemented by reforms that improve the investment climate for a broad range of sectors. This means reducing licensing delays, improving industrial infrastructure, strengthening export systems, stabilising foreign-exchange access, and supporting local firms that can participate in supply chains created by major developments.

For investors, Ras El Hekma demonstrates the value of looking at investment composition rather than totals. The underlying question is not only how much capital entered the country. It is how much capital is moving into productive sectors, how much remains available for operating businesses, and whether the investment environment is deepening beyond a small number of landmark transactions.

9.2 Renewable energy and the challenge of turning commitments into operating assets

Renewable energy is one of Africa's most promising investment sectors. The continent has abundant solar, wind, hydro, geothermal, and green-hydrogen potential. It also has one of the world's largest energy-access gaps, growing demand from cities and industries, and a strong need for lower-cost, more reliable electricity.

These conditions have attracted significant investment interest. According to UN Trade and Development, announced greenfield investment in electricity and gas supply across Africa reached $289 billion between 2021 and 2025. This was more than three times the value recorded between 2016 and 2020. The increase reflects global energy-transition priorities, domestic power shortages, industrial demand, and interest in green fuels and low-carbon infrastructure.

Yet the gap between announced investment and operating assets remains significant. Renewable projects must navigate land acquisition, grid access, transmission constraints, licensing, environmental approvals, tariff structures, offtaker risk, and foreign-exchange exposure. A solar farm can be technically viable and still fail to reach financial close if its power-purchase agreement is not bankable, if the utility is not creditworthy, or if currency risks cannot be

managed.

The case of South Africa's renewable-energy procurement programmes demonstrates both the potential and the complexity of the sector. Competitive procurement rounds helped attract private developers and institutional capital into utility-scale renewable projects. However, grid connection constraints, delays in transmission expansion, and the limited availability of connection capacity in high-resource areas have become major barriers. The lesson is that generation investment cannot be separated from transmission planning, regulatory coordination, land access, and utility reform.

A similar lesson applies across African markets. Commercial and industrial solar projects can sometimes move faster because they serve private customers directly and reduce exposure to utility payment risk. Mini-grids can provide energy access in underserved areas, but their economics depend on customer demand, tariff affordability, regulation, and the ability to scale operations. Green-hydrogen projects may attract large commitments, but their viability depends on renewable power, water, ports, long-term buyers, and global pricing.

For businesses, the renewable-energy opportunity is not limited to project developers. Manufacturers, logistics firms, food processors, mines, data-centre operators, hospitals, and commercial property owners increasingly view energy systems as a strategic operating decision. Investments in solar, storage, efficiency, and captive generation can reduce energy costs, improve reliability, and protect cash flows.

The broader case-study lesson is that capital commitment is only the beginning. Productive investment requires the full chain from project preparation to financial close, construction, grid integration, operation, maintenance, and revenue collection. Countries that strengthen every link in that chain will convert energy interest into operating assets and lower costs across their economies.

9.3 African data centres and digital infrastructure as infrastructure-adjacent investment

The rise of African data centres illustrates the growing convergence between digital technology and physical infrastructure. Data centres are often discussed as part of the technology sector, but their economics resemble infrastructure. They require large upfront investment, reliable power, high-quality connectivity, secure land, cooling systems, specialised equipment, long-term customer contracts, and continuous operational management.

Africa's data-centre capacity remains low relative to its population and digital potential. The Africa Data Centres Association reported that the continent had around 360 megawatts of active capacity in 2026, approximately 0.6 percent of global supply. It identified a further 238 megawatts under construction and 656 megawatts in planned capacity. This demonstrates both the scale of opportunity and the scale of the gap.

The investment case is supported by several forces. Cloud adoption is growing. Financial institutions, telecom companies, governments, retailers, logistics firms, and digital platforms need local storage and processing capacity. Data sovereignty rules are pushing more organisations to host information closer to home. Artificial intelligence and analytics are increasing computing requirements. Subsea cable investments are improving connectivity to global networks.

But the sector also shows why infrastructure quality matters. Power is the most important constraint. A data centre cannot operate with frequent outages or unpredictable tariffs. Developers therefore need secure electricity arrangements, often involving a combination of grid supply, backup generation, renewable energy, gas, batteries, and energy-management systems. Water availability, cooling requirements, land access, fibre connectivity, and cybersecurity regulation also affect feasibility.

The business lesson is that digital infrastructure requires a different investment mindset from consumer technology. Data centres cannot be financed primarily on user-growth projections. Their economics depend on utilisation, contract duration, power cost, reliability, customer credit quality, and the ability to expand in line with demand. Underutilised capacity can become a major capital burden, especially in markets where enterprise cloud adoption takes time to mature.

9.4 Logistics and transport platforms: investing in the movement of goods rather than only the goods themselves

Logistics is becoming an increasingly important investment theme because every productive sector depends on the movement of goods. Food processing, mining, manufacturing, retail, pharmaceuticals, construction, and e-commerce all require reliable transport, warehousing, inventory management, customs clearance, and distribution.

In many African markets, logistics costs remain high because of weak roads, congested ports, fragmented trucking markets, limited storage, inefficient border processes, and poor coordination between public agencies. These costs reduce competitiveness and create working-capital stress. Businesses must hold more inventory, face longer delivery times, and absorb higher uncertainty.

The expansion of logistics platforms, industrial zones, warehouses, and transport corridors reflects growing recognition that Africa's investment opportunity is not limited to producing goods. It also lies in making it possible for goods to move more efficiently.

A relevant example is the development of transport and logistics networks around major ports and trade corridors in East and Southern Africa. Projects linked to the ports of Mombasa, Dar es Salaam, Durban, Maputo, and Lobito illustrate the strategic importance of maritime gateways, rail connections, road infrastructure, dry ports, warehousing, and customs systems. These are not isolated assets. Their value depends on how well they connect producers, consumers, mining regions, industrial zones, and regional markets.

The Lobito Corridor, linking Angola's Atlantic coast with the Democratic Republic of Congo and Zambia, is particularly significant because it connects mineral-producing regions with export markets. Its long-term value will depend on whether it becomes more than a route for raw commodities. If supported by industrial zones, processing capacity, local supplier development, energy infrastructure, and cross-border coordination, it could stimulate broader economic activity. If it functions only as an extraction corridor, its benefits may remain narrow.

For businesses, logistics investment can have direct financial effects. Better warehousing reduces losses and improves inventory control. Reliable transport lowers buffer-stock requirements and shortens cash conversion cycles. Digital freight platforms can improve fleet utilisation and reduce empty return trips. Cold-chain systems can help food producers and pharmaceutical distributors preserve value.

For investors, logistics assets are attractive because they can generate recurring revenues tied to economic activity. But the risks are real. Throughput depends on trade volumes, industrial demand, border policy, maintenance, and macroeconomic conditions. The most attractive projects are those integrated into wider economic ecosystems rather than dependent on a single customer or commodity cycle.

9.5 Pharmaceutical and food-processing investment: the return of strategic manufacturing

Pharmaceuticals and food processing demonstrate why selective manufacturing investment is returning to the African agenda. Both sectors are linked to essential demand. Both can reduce import dependence. Both have the potential to create supply-chain linkages, skilled jobs, and local value addition. But both also require more than capital. They depend on regulation, quality systems, energy, logistics, procurement, and market scale.

The pharmaceutical case became more urgent during the pandemic, when African countries faced delays and vulnerability in access to vaccines, medicines, diagnostics, and protective equipment. Governments and development institutions responded by increasing support for local manufacturing capacity. Yet pharmaceutical investment is difficult. A plant needs regulatory approval, quality assurance, trained personnel, reliable inputs, technical expertise, and predictable demand from governments, health systems, and distributors.

The central financial challenge is scale. Pharmaceutical production requires significant fixed investment, but many African national markets are too small to support efficient operations on their own. Regional procurement, regulatory harmonisation, and trade integration are therefore essential. Without them, local producers may struggle to

compete with imported products produced at much larger scale.

Food processing faces a related challenge. Africa produces a wide range of agricultural commodities, but much of the value is captured elsewhere because processing, packaging, branding, storage, and distribution are underdeveloped. Investment in milling, oilseed processing, dairy, fruit and vegetable processing, cold storage, packaging, fertiliser, and agricultural inputs can create jobs and reduce post-harvest losses. But it requires reliable energy, water, transport, quality controls, farmer networks, and working capital.

In both sectors, the best investment cases are often ecosystem cases. A food-processing plant is stronger when linked to stable farmer supply, cold-chain logistics, packaging suppliers, retailers, and export markets. A pharmaceutical manufacturer is stronger when linked to procurement commitments, regional regulatory systems, training institutions, and quality laboratories.

For investors, the lesson is that strategic manufacturing should not be assessed only through factory-level returns. It should be assessed through the strength of the surrounding ecosystem. For policymakers, the lesson is that incentives must go beyond tax breaks. They should include infrastructure, standards, procurement, trade policy, financing, and skills development.

9.6 Venture debt, fintech consolidation, and the move from growth capital to durable economics

The African technology sector is moving into a more disciplined phase. During the earlier wave of venture investment, companies were often valued on growth rates, user acquisition, transaction volume, and market expansion. Capital was relatively abundant, and investors were more willing to fund losses in the expectation that scale would eventually create dominance.

That environment has changed. Venture capital remains important, but investors are now demanding stronger unit economics, clearer revenue models, better governance, and more disciplined cost control. The African Private Capital Association reported that venture capital deal volume fell during the first half of 2026, while private equity and private debt gained importance. Financial services lost their long-standing lead in venture deal activity, while industrials, health care, and consumer staples received a larger share of transactions.

This shift is driving consolidation. Companies that once competed aggressively for customers are now under pressure to improve margins, reduce customer-acquisition costs, and consider partnerships, mergers, or acquisitions. Some firms are turning to venture debt or revenue-based finance to extend runway without raising additional equity. These instruments can be useful, but they require careful management. Debt must be serviced even when growth slows, and revenue-based finance can become expensive if margins are thin.

Fintech provides a useful example. Payments businesses may process large volumes but generate limited revenue per transaction. Lending platforms may grow quickly but face credit losses when macroeconomic conditions deteriorate. Digital banks and wallets may attract users but need regulatory approval, trust, data security, and a path to monetisation. The firms most likely to survive are those that build strong infrastructure, manage risk carefully, and serve real enterprise or consumer needs with sustainable pricing.

The case-study lesson is that funding raised does not equal financial strength. A company can secure a large round and still face liquidity stress if its costs rise faster than revenues or if its investors expect growth that the market cannot support. Durable technology businesses will increasingly be judged by cash generation, customer quality, compliance, and resilience rather than by valuation alone.

9.7 Domestic pension funds and local-currency capital: the missing institutional investor story

Domestic institutional capital is often described as Africa's missing link. Pension funds, insurance companies, collective-investment schemes, sovereign funds, and local asset managers hold large pools of savings, but their participation in productive infrastructure and enterprise finance remains limited.

According to FSD Africa, the continent's asset-

management sector reached roughly $600 billion in 2026. The Africa Finance Corporation has estimated Africa's wider domestic capital pool, including banks, pensions, insurance, and sovereign institutions, at several trillion dollars. These figures suggest that Africa's financing challenge is not simply the absence of savings. It is the lack of suitable vehicles through which savings can be deployed safely and productively.

Pension funds face legitimate constraints. They must protect retirement savings. They need liquidity, diversification, professional governance, transparent valuation, and assets that fit their liability profiles. Many infrastructure and private-equity projects do not meet these requirements because they are opaque, illiquid, poorly structured, or too risky. It is therefore unrealistic to assume that pension funds can be directed into projects merely through policy instruction.

The solution is to build investable structures. Credit-enhanced infrastructure bonds, pooled funds, listed vehicles, project bonds with guarantees, private-credit funds, and co-investment platforms can provide ways for domestic institutions to participate without taking risks they cannot manage. The Africa Finance Corporation's launch of an Infrastructure Climate-Resilient Fund in Nigeria in 2026 illustrates this direction. The aim is to create a vehicle that allows domestic institutional investors to participate in infrastructure and climate-resilient assets through a professionally managed structure.

The local-currency advantage is significant. Domestic pension and insurance funds have local-currency liabilities and long-term investment horizons. They are therefore natural potential providers of local-currency finance for infrastructure, housing, industrial projects, and corporate expansion. Mobilising them could reduce reliance on foreign-currency borrowing and help address one of the central balance-sheet risks facing African enterprises.

The case-study lesson is that domestic capital mobilisation is not a question of forcing institutions to take more risk. It is a question of improving the quality, governance, and structure of opportunities available to them.

9.8 Lessons from investment projects that did not deliver expected economic value

Not every investment delivers the outcomes promised at announcement. Projects can fail to create expected value because of unrealistic demand assumptions, financing mismatches, weak governance, policy changes, construction delays, currency shocks, poor maintenance, or lack of integration with the wider economy.

One common problem is overbuilding. A country or company may invest in capacity based on optimistic growth projections, only to find that demand develops more slowly. Underutilised industrial parks, airports, power plants, hotels, data centres, and commercial properties can become capital traps. The asset exists, but it does not generate enough revenue to cover its cost of capital.

Another problem is weak local linkage. A large extractive or infrastructure project may generate substantial revenues but create few opportunities for local businesses. Equipment, services, financing, and skilled labour may be imported. The project may operate efficiently but remain disconnected from the wider economy. Without deliberate supplier development, training, and industrial policy, capital can flow through a country without transforming it.

A third problem is financial mismatch. Projects may be financed with short-term debt, foreign-currency loans, or assumptions about tariffs and demand that do not hold. When conditions change, the project can become distressed even if the underlying asset remains useful. This is particularly common where governments or consumers cannot absorb the higher costs needed to maintain project viability.

A fourth problem is poor maintenance and governance. Infrastructure can lose value quickly if maintenance is neglected, management capacity is weak, or revenue collection fails. Investment must be understood as a lifecycle commitment, not a construction event.

The final lesson is that productive investment requires alignment. Demand, finance, policy, infrastructure, skills, governance, and local economic linkages must reinforce one another. When they do, capital can compound into stronger businesses and broader economic capacity. When they do not, even very large investments can produce less value than expected.

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10

Conclusion

Africa's investment landscape is no longer defined by a simple shortage of money or by a simple need to attract more foreign capital. The real challenge is more demanding. Africa must improve how capital is sourced, structured, priced, allocated, deployed, governed, and converted into productive capacity.

The evidence examined in this report shows that capital is moving into Africa, but it is moving selectively. Foreign direct investment remained historically high in 2025 despite falling from the exceptional level recorded in 2024. Private equity and private debt have gained prominence as venture capital has become more cautious. Development finance institutions continue to mobilise capital through guarantees and blended structures. Gulf investors, strategic corporates, sovereign funds, local banks, pension funds, insurers, and family offices are becoming more important participants in the continent's financing landscape.

Yet the current cycle is uneven. Capital is concentrating in energy, critical minerals, transport corridors, data infrastructure, logistics, selected manufacturing segments, and mature financial-services platforms. These sectors are attracting attention because they connect to global priorities such as energy security, strategic supply chains, artificial intelligence, industrial policy, food resilience, and climate transition. They are also attracting capital because they can offer tangible assets, contracted revenues, scarcity value, or protected demand.

This shift should be understood as an opportunity, but not as an automatic victory. Africa's economies will benefit only if investment flows are converted into operating assets, reliable services, stronger local enterprises, technology transfer, supplier development, skills, tax revenues, and resilient jobs. A large FDI figure is not enough. A funding announcement is not enough. A project commitment is not enough. Capital must move from announcement to financial close, from financial close to construction, from construction to operation, and from operation to durable economic value.

The report has shown that this conversion is often obstructed by currency volatility, high financing costs, shallow local-currency markets, weak project preparation, inconsistent regulation, infrastructure deficits, fragmented trade systems, and governance concerns. These barriers do not merely discourage investment. They raise the cost of capital, shorten investment horizons, encourage concentration in safer sectors, and prevent otherwise viable African businesses from accessing the financing they need.

For businesses, the lesson is clear. The new investment environment rewards financial discipline. Firms must understand their cash conversion cycles, liquidity needs, capital structure, currency exposure, customer concentration, energy costs, and operating risks. They must build governance systems that allow investors to trust their numbers and management teams. They must seek capital that fits their business model rather than accepting funding that creates future stress. The most successful enterprises will not necessarily be those that raise the most money. They will be those that use capital most efficiently.

For investors and lenders, the lesson is equally clear. Africa should not be approached as a single risk category or a single growth story. It is a diverse portfolio of markets, sectors, businesses, and institutional conditions. Good investment decisions will depend on deep local knowledge, careful underwriting, realistic currency assessment, and an ability to distinguish between deal publicity and operating value. The strongest opportunities are likely to be found where capital can lower structural costs, support productive assets, build essential infrastructure, and generate durable cash flows.

For policymakers and regulators, the task is to make investment easier to execute and more valuable once it arrives. This means improving project preparation, protecting contractual credibility, enabling local-currency finance, strengthening trade and logistics systems, improving energy reliability, and building the regulatory conditions that allow domestic institutional capital to participate safely. Investment promotion should be measured not by memoranda of understanding or announcements, but by project completion, operating performance, local linkages, and productive outcomes.

The report's central conclusion is that Africa's next investment cycle will be defined by capital quality rather than capital quantity. The continent will not achieve its development ambitions by simply competing for the largest

inflows. It will succeed by attracting and deploying capital that fits local realities, strengthens enterprise capability, manages risk responsibly, and compounds value over time.

According to discussions at the African Development Bank's 2026 Annual Meetings, Africa holds several trillion dollars in domestic savings and institutional capital while facing an annual development-financing gap estimated at about $400 billion. This contrast captures the central challenge. The continent is not without capital. It is without enough mechanisms to transform available savings, external interest, and strategic assets into investable, productive, and resilient opportunities.

The long-term prize is substantial. If Africa can mobilise domestic savings, attract patient international capital, reduce investment risk, deepen local-currency markets, and strengthen enterprise capability, it can finance a more diversified and resilient economy. It can move from investment that extracts value to investment that creates value. It can build an economy in which capital supports not only projects, but systems: energy systems, logistics systems, digital systems, industrial systems, financial systems, and business ecosystems that raise productivity across the continent.

Where the money is moving matters. But the more important question is whether Africa can direct that movement toward the parts of its economy that will create enduring wealth.

11

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The report further recognises the work of entrepreneurs, founders, executives, operators, and employees whose businesses form the practical foundation of Africa's investment story. Their experience of managing currency risk, energy constraints, working-capital pressure, regulation, logistics, customer demand, and financing gaps provides the real-world context behind the data.

Finally, this report acknowledges the contribution of public officials, regulators, project sponsors, and community stakeholders responsible for turning investment ambition into operating assets. Their capacity to prepare projects, administer rules, enforce contracts, build infrastructure, and manage public value determines whether capital can create lasting economic benefit.

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Appendix

12

12.1 Core concepts and definitions

This report uses several key financial and investment terms that should be understood clearly.

Foreign direct investment refers to cross-border investment through which an investor obtains a lasting interest and significant influence in a business or asset located in another economy. It can include greenfield projects, acquisitions, reinvested earnings, and intra-company loans.

Portfolio investment refers to investment in financial securities such as listed shares and bonds without the same level of management control associated with foreign direct investment. Portfolio capital can support financial-market development but is generally more liquid and volatile.

Private equity refers to equity investment in privately held companies or the acquisition of listed companies that are then taken private. It often involves active ownership, governance oversight, and a planned exit over a medium-term period.

Venture capital refers to high-risk equity investment in early-stage or high-growth businesses, often in technology-enabled sectors. Venture investors accept the possibility of losses in exchange for the potential of outsized returns from successful companies.

Private debt refers to lending by non-bank investment funds or other private capital providers. It can offer more flexible structures than traditional banks but may carry higher costs or stricter covenants.

Project finance refers to financing structured primarily around the future cash flows of a specific project rather than the general balance sheet of its sponsors. It is common in infrastructure, energy, mining, and large industrial projects.

Blended finance combines concessional capital, grants, guarantees, first-loss structures, or technical assistance with commercial capital in order to make projects investable that would otherwise be considered too risky.

Capital mobilisation refers to the process by which public institutions, development finance institutions, or other catalytic investors attract additional private or institutional capital into projects or sectors.

Cash conversion cycle measures the time between a business paying for inputs and receiving cash from customers. A shorter cycle generally improves liquidity and reduces the need for external working-capital finance.

Return on invested capital measures how effectively a business converts the capital invested in it into operating profits. It is a central indicator of whether growth is creating value.

Currency mismatch occurs when a business earns revenue in one currency but has debt or obligations in another. It is a major source of financial vulnerability during currency depreciation.

12.2 How to read investment-flow data

Investment-flow data should be interpreted carefully because different measures capture different realities.

A high FDI figure may represent new productive investment, but it can also include acquisitions, reinvested earnings, intra-company loans, or a single exceptional transaction. It does not automatically mean that financing conditions have improved for domestic small and medium-sized businesses.

Announced investment should be distinguished from committed, closed, disbursed, and operational investment. An announcement signals interest. A commitment indicates intent. Financial close confirms that binding financing arrangements are in place. Disbursement shows that funds are being released. Operational investment means that an asset or business is actually producing goods, services, or revenue.

Investment values should also be assessed alongside employment, local procurement, technology transfer, tax contribution, capacity utilisation, export performance, and operating cash flow. These indicators help determine whether capital is creating productive capacity or merely changing ownership structures.

Investors and policymakers should be cautious when comparing countries based on annual inflows alone. A single megaproject can dominate figures in one year, while smaller but more diversified investment may have a stronger long-term impact in another country.

12.3 Capital types and their appropriate use cases

Different kinds of capital should be used for different purposes.

Equity is most suitable for early-stage businesses, uncertain growth opportunities, product development, market entry, and expansion where future cash flows are not yet stable. It is patient in repayment terms but costly in ownership dilution and return expectations.

Long-term debt is best suited to assets that generate predictable cash flows over time, including equipment, factories, vehicles, energy systems, warehouses, and infrastructure. Debt should be matched to the life of the asset and the timing of cash flows.

Working-capital finance is designed for inventory, receivables, supplier payments, and short-term operating needs. It should not be used to finance long-term infrastructure or expansion projects.

Trade finance supports the movement of goods across borders and can be especially useful for exporters, importers, distributors, and manufacturers that need to finance purchase orders, letters of credit, inventory, and receivables.

Project finance is appropriate for large assets with clear revenue streams, credible contracts, and identifiable risks. It is often used for power plants, toll roads, ports, data centres, and industrial facilities.

Blended finance is most appropriate where a project has commercial potential but cannot attract sufficient private capital because of specific risks. Guarantees, concessional tranches, and technical assistance should be used to address those risks rather than to subsidise fundamentally weak projects.

Local-currency finance is generally most appropriate for businesses with local-currency revenues. It reduces the risk that currency depreciation will destabilise the balance sheet.

12.4 Capital-quality diagnostic for African businesses and projects

Businesses and project sponsors should assess prospective capital against five core questions.

Is the capital matched to the business model?
The currency, maturity, repayment profile, covenants, and return expectations should align with revenue streams, asset life, and cash conversion cycles.

Is the capital productive?
The financing should improve capacity, reduce costs, strengthen systems, support technology adoption, build assets, or enable sustainable expansion. It should not simply fund recurring losses or short-term consumption.

Is the capital resilient?
The business should be able to service the financing under plausible stress scenarios, including currency depreciation, inflation, delayed customer payments, higher energy costs, or lower sales.

Is the capital transparent?
The full economic cost of financing should be understood, including interest, fees, dilution, collateral, covenants, guarantees, and potential currency exposure.

Does the capital create long-term value?
The financing should make the business more competitive, more capable, and more resilient. It should reduce rather than increase dependence on repeated emergency fundraising.

Projects that score poorly on these questions may still raise money, but they are more likely to encounter liquidity stress, refinancing difficulty, or value destruction over time.

12.5 Early warning signs of capital misallocation

Several signals may indicate that capital is being misallocated or that investment is unlikely to create the expected economic value.

- A country's investment figures rise sharply because of one transaction, while financing conditions for local businesses remain unchanged.
- Projects are announced repeatedly but fail to reach financial close or begin construction.
- Businesses borrow foreign currency while earning primarily in local currency and lack credible hedging or export revenues.
- Short-term debt is used to finance long-term assets.

- Revenue grows rapidly, but cash conversion deteriorates and working-capital needs rise faster than operating cash flow.
- Infrastructure assets are built without clear demand, reliable revenue structures, or maintenance plans.
- Investment incentives are offered without clear commitments to local procurement, skills, technology transfer, or operating performance.
- Companies raise large amounts of capital but cannot explain how the funds will generate sustainable returns.
- Pension and insurance funds are encouraged to invest in projects without independent governance, risk protection, or transparent valuation.
- Governments focus on headline commitments rather than project completion, operational performance, and local economic linkages.

These warning signs do not prove that an investment will fail. They indicate that closer analysis is required before capital is committed or public support is provided.

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